

PUBLIC VERSION

BEFORE
THE FEDERAL MARITIME COMMISSION

DOCKET NO. 23-01

SAMSUNG ELECTRONICS AMERICA, INC.

Complainant,

v.

SM LINE CORPORATION

Respondent.

**COMPLAINANT SAMSUNG ELECTRONICS AMERICA, INC.'S RESPONSE TO
RESPONDENT'S PROPOSED FINDINGS OF FACT**

Samsung Electronics America, Inc. (“SEA” or “Complainant”) submits this Response to SM Line Corporation’s (“SM Line” or “Respondent”) Proposed Findings of Fact (“RPFF”)¹:

General Objection: There are a number of instances where SM Line proffers RPFFs with no citation whatsoever in the record. In Initial Order Instruction No. 17 (Dkt. No. 10), it states “[a]n opposing party may also include in the responding statement additional facts that the party contends are material. Each such fact must be stated in separately numbered paragraphs with a citation to the motion record.” SEA has objected to each instance where there was no citation and the RPFF should be rejected, and this general objection is incorporated into those SEA responses.

A. SAMSUNG ELECTRONICS AMERICA, INC.’S (“SEA”) CONTAINERS WERE MOVED UNDER CONTRACTS NEGOTIATED WITH SM LINE BY ITS AFFILIATES SAMSUNG DATA SYSTEMS AND SAMSUNG ELECTRONICS LOGITECH SEA BENEFITTED FROM THE TERMS OF THOSE CONTRACTS. SUCH CONTRACTS INCLUDED PROVISIONS RELATED TO THE LIABILITY OF THE CUSTOMER NOMINATED TRUCKERS’ PERFORMANCE OR LACK THEREOF.

SEA Response to SM Line RPFF Header A: Denied. The statement relies on purported evidence with no foundation and, if considered, SM Line draws incorrect conclusions on the meaning of the terms referenced.

1. SM LINE RPFF 1: [REDACTED] or “[REDACTED]” and [REDACTED] [REDACTED] (“[REDACTED]”) have contracts with SM Line (“Service Contract”). CX_002293 Choi Dep. Tr. 46: 38; CX_002295, Choi Dep. Tr. 47: 13-25; 48:2-9.

SEA Response to SM LINE RPFF 1: Denied. The testimony cited by SM Line, attributed to Mr. Jeung Choi, SEA’s 143(b)(6) corporate designee, does not support or establish the statements in

¹ SM Line’s revised RPFFs provided on May 28, 2024 are replete with misspellings, incorrect and/or missing citations, misplaced punctuation, run on sentences, and related deficiencies. The RPFFs are copied verbatim into SEA’s Response as there is no practical manner in which to correct these actions and correlate the responses to the original submission.

RPFF 1. When addressing contracts, Mr. Choi states that “[t]here is no contract with SEA and the ocean carrier” ... “[t] here is no contract per my understanding with [REDACTED]. There is no contract per my understanding for [REDACTED] and also [REDACTED].” CX_002293, J. Choi Dep. Tr. 46:3-8. Mr. Choi further testified “Now, I’m aware that [REDACTED] and the ocean carrier *may* have a contract. [REDACTED] may have a contract with ocean carriers.” CX_002295, J. Choi Dep. Tr. 48:5-9 (emphasis added). Mr. Choi’s testimony does not confirm that [REDACTED] or [REDACTED] had service contracts with SM Line.

2. **SM LINE RPFF 2:** SEA is named in the Service Contract as one of the Affiliates. See RX_0004489, RX_0004494. *See* 2021 Service Contracts with [REDACTED] (“[REDACTED]”) RX_0004506, RX_0004511; 2022 Service Contract with [REDACTED], RX_0004160; 2020 Service Contract with [REDACTED] ([REDACTED]) RX_0004523, 2021 Service Contract with SDS, RX_0004546, and 2022 Service Contract with [REDACTED], RX_0004567.

SEA Response to RPFF 2: Denied. While SEA admits its appears in the documents cited, RPFF 2 is denied as none of the documents cited were authenticated during this proceeding. Further denied as SM Line has provided no evidence to establish that the purported agreements are final or legally binding service contracts and none of the documents bear an indicium of finality (*e.g.*, party signatures). The legal implications of these SM Line failings are addressed in SEA’s Reply Brief in Section IV(C)(6).

3. **SM LINE RPFF 3:** [REDACTED] and [REDACTED] are affiliates of SEA. RX_0004542, K.K. Choi Dep. Exhibit 10 (SML_24967) pg. 1, 9 and 10; RX_00004502, K.K. Choi Dep. Exhibit 14 (SML_24968) pg. 1, 10 and 13.

SEA Response to RPFF 3: Denied. The term “affiliates” is undefined and no time period is provided to define the relationship for SEA to properly respond. Further denied as the evidence cited does not support the assertion that [REDACTED] and [REDACTED] are affiliates of SEA. RX_0004542 and RX_0004502 are each the first page of an unexecuted purported service contract and do not address the affiliation of [REDACTED] and [REDACTED] to SEA. Moreover, RX_0004542² is an unexecuted purported service contract for the year 2021, between SM Line and [REDACTED], only. *See* RX_0004551. Similarly, RX_0004502 is an unexecuted purported service contract between SM Line and Logitech only for the year 2021. *See* RX_0004510. None of the documents cited establish a legal relationship between SEA and [REDACTED] or [REDACTED].

4. **SM LINE RPFF 4:** While SEA does not directly negotiate the Service Contract with ocean carriers itself, [REDACTED] and [REDACTED] discusses with SEA during their respective negotiations with the ocean carriers. SEA relies on and benefits from the Service Contract that [REDACTED] and [REDACTED] negotiate. (SEA communicated through [REDACTED] and [REDACTED] and SEA closely participated in the service contract with SM Line through [REDACTED]. RX_000295-26(English translation), RX_0002931-21 (English translation), RX_0002935-41 (English translation), CX_002293 Choi Dep. Tr. 46: 3-8; CX_002295, Choi Dep. Tr. 47: 13-25; 48:2-9; RX_0004542 K.K. Choi Dep. Exhibit 10 SML_24967 pg. 1, 9 and 10; RX_0004502 K.K. Choi Dep. Exhibit 14 SML_24967 pg. 1, 10 and 13.

SEA Response to RPFF 4: Denied. First, it improperly asserts at least four separate factual propositions. SEA and the Presiding Officer are left to guess which cited materials purportedly

² K.K. Choi Dep. Exhibit 10 bears the bates number SML_000024967. However, RX_0004542 bears the bates number SM Line_0163982. Likewise, RX_0004502 bears a different bates number, SM Line_0153869, than the purportedly same document K.K. Choi Dep. Exhibit 14, Exhibit 15 SML_0000024968. With references that do not support the actual statements made, there is nothing for SEA to rebut besides noting that these references do not support the RPFF.

support which contention. RPF 4 is further denied as vague and ambiguous as the terms “Service Contract,” and “ocean carriers” are undefined, and the meaning of [REDACTED] and [REDACTED] “discuss[ed] with SEA during their respective negotiations,” has no evidentiary foundation. SEA admits that it does not directly or indirectly negotiate service contracts with ocean carriers. CX_002293-95, SEA 143(b)(6) Dep. Tr. 46:3-48:9. SEA denies the remainder, including the assertions that “Logitech discusses with SEA during their respective negotiations with the ocean carriers” or that “SEA relies on and benefits from” the negotiations [REDACTED] and [REDACTED] have in Korea with their SM Line counterparts.

None of the evidence cited supports any of the proposed facts in RPF 4. RX_0002925 is a 2020 email chain between SM Line and [REDACTED] discussing CNT rates, not service contract terms. *See* RX_002925-27. Similarly, RX_0002931 is an email chain from 2021 discussing the replacement of a CNT for a particular route; there is no discussion of service contract negotiations. *See* RX_0002931-33. The email chain does not support the assertion that SEA is involved in [REDACTED] or [REDACTED] negotiations, nor that it relies on or benefits from the negotiations.

RX_0002935 is an email chain from April 2017 that bears no Bates number and thus was not produced during discovery in this proceeding. It is inadmissible because it was not previously produced, irrelevant because it is from 2017 (before the “Relevant Time Period” as defined in SEA’s Initial and Reply Brief) and does not support the statements contained in RPF 4. *See* RX_0002935-45. The cited testimony of Mr. Jeung Choi also does not support RPF 4. Mr. Choi’s testimony confirms that SEA does not have Service Contracts with any ocean carriers (CX_002293-94, J. Choi Dep. Tr. 46:22-47:11) and then confirms his belief that [REDACTED] and [REDACTED] may have contracts with ocean carriers (CX_002295, 48:2-9).

Finally, neither RX_0004542 nor RX_0004502 (both unexecuted documents from 2021), demonstrate that SEA was included in service contract discussions. None of the evidence cited supports any of the three separate sentences of “factual propositions” in RPFF 4.

5. SM LINE RPFF 5: SEA is the consignee of the cargo shipped under the contracts between [REDACTED] and SM Line. CX_003001-02, Fernando Dep. Tr. 72:25; 73:2-9; CX_004513 RX_0004089.

SEA Response to RPFF 5: Admitted in part and denied in part. Admitted that former SEA employee Ms. Fernando testified in her deposition that SEA was listed in box 2 of a SEA Waybill used in the carriage of cargo. *See* CX_003002, Fernando Dep. Tr. 73:6-12. Denied that SEA is the consignee of all cargo shipped under service contracts between [REDACTED] or [REDACTED]. As a preliminary matter, SM Line fails to establish which purported service contracts it is relying upon as it does not cite any. Further, and as set forth above, SM Line has provided no evidence to establish that any of the purported service contracts are final or legally binding as none of the documents bear an indicium of finality (*e.g.*, party signatures). *See* SEA’s Response to RPFF 4; SEA’s Reply Br. § IV(C)(6).

Moreover, assuming *arguendo* that these service contracts are binding agreements, the proffered evidence does not support this proposed fact. The proffered evidence is simply Ms. Fernando testifying that SEA was merely the consignee on a single bill of lading. CX_003001 – 02, Fernando Dep. Tr. 72:25; 73:2-9; CX_004513; RX_0004089. None of the cited evidence illustrates that SEA “is the consignee of the cargo shipped under the contracts between Samsung [REDACTED] and SM Line.” Further, Ms. Fernando is a non-party witness; she is not a corporate witness who can speak for SEA on whether SEA is a consignee under contracts SM Line may have with [REDACTED]. Admitted SEA has been the consignee of cargo shipped by

overseas Samsung entities and cargo was handled by SM Line as SEA was not permitted to pick up cargo without SM Line's express permission. *See* SEA's Proposed Findings of Fact ("PFF") 25; CX_004452, Expert Report of Gregory E. Smith, dated Feb. 21, 2024 ("Smith Report") ¶ 17; CX_002721, Rapske Dep. Tr. 109:2-11; PFF 107; CX_000068; CX_000093; CX_000098, SM Line 143(b)(6) (Session I) Dep. Tr. 40:2-8; 40:10-13; 65:12-15; 70:3-6.

6. **SM LINE RPFF 6:** SEA ships only approximately 4.5% of its volume with SM LINE and relies on the top 5 ocean carriers carried approximately 82% of SEA's shipping volume. RX_0003734.

SEA Response to RPFF 6: Denied. SM Line provides no support for the proposition that SEA is the shipper of, or "ships," any cargo with SM Line. As to the percentage of volumes asserted, RX_00003734 is a spreadsheet with a number of individual sheets where in "sheet 2" there is a reference to SM Line and the years 2020, 2021, and 2022 with a "grand total" percentage of 5%. During the period from January 2020 to December 2022, SM line handled approximately 4.5% of the containers shipped to SEA. *See* CX_004474, Smith Report ¶ 57. Concerning the 82% reference, denied in so far as the numbers in rows in the "sheet" sections are not designated or defined as "shipping volume" and Sheet 2 does not otherwise define what the numbers represent. Further denied to the extent the term "top 5 ocean carriers" is undefined.

7. **SM LINE RPFF 7:** During the claim period, contract(s) negotiated between SM LINE and [REDACTED] included services on container yard (or CY to CY or CY/CY) and store door (or Door to Door or CY/DR) terms. CX_004729; CX004730; RX_0003614, CX_004513, and RX_0004210.

SEA Response to RPFF 7: Admitted in part and denied in part. Denied that any of the cited evidence supports the assertion that any contract(s) negotiated between SM Line and [REDACTED]

██████████ included services on CY/CY terms and there are no specific references to these statements in the evidence proffered. Admitted that the document referenced in RPFF 7, CX_004727, appears to be an unauthenticated service contract between ██████████ and SM Line for one year, 2020, and that provided for “all-in” rates when the final destination was an inland point (*i.e.* store door terms), “all-in” meaning it is inclusive of destination Inland Haulage...and all/any other destination surcharges.” CX_004729-30, K.K. Choi Dep. Ex. 8 at 3-4. RPFF 7 is further denied as the evidence cited is limited to 2020 and does not cover the entire claim period (2020-2022).

Admitted further that CX_004513 evidences that on June 7, 2021, a bill of lading was issued showing that SM Line carried cargo on behalf of ██████████ with SEA listed as the consignee on a CY/Door move. Also admitted that RX_0004210 is a bill of lading issued on July 8, 2020, showing that SM Line carried cargo on behalf of ██████████, with SEA listed as the consignee for that particular CY/Door move.

Denied that RX_0003614 supports RPFF 7. RX_0003614 is simply a page from a May 2021 email between SM Line personnel with “sea-cecustoms” [*sic*] copied to note who should be contacted to receive a rated bill of lading.

8. SM LINE RPFF 8: The majority of the Bill of Lading issued by SM Line were on a “CY/DR” basis while the remaining Bills of Lading were on a “CY/CY” basis. RX_0003734 (Tab: “Sheet 7”).

SEA Response to RPFF 8: Admitted in part and denied in part. To the extent that Sheet 7 of RX_0003734 provides a time frame of January 2020 to December 2022, no ocean carrier name is associated with the information on this Sheet and therefore it is not possible to determine if the information corresponds to SM Line. Admitted that between 2019 and 2021, SM Line issued bills

of lading, with SEA as the consignee, that were for door-to-door moves, but that during 2022, the terms of movement transitioned to CY-CY in an effort to avert the unrelenting D&D charges foisted upon SEA during the pandemic. CX_002637, Rapske Dep. Tr. 25:5-16; RPFF 28.

9. SM LINE RPFF 9: Under standard store door terms, SM Line is generally responsible for arranging, paying for, and managing inland movement. CX_000410-11, K.K Choi Tr. 57:22-58:7, CX_000320, K.K. Choi 143(b)(6) Vol. 3 263:7-13, RX_0001199.

SEA Response to RPFF 9: Admitted in part and denied in part. Admitted that under store door terms as recognized in the shipping industry, or “standard terms,” SM Line is “responsible for arranging, paying for, and managing inland movement” as stated by SM Line. SEA denies the implied proposition that SM Line’s responsibility under store door terms differed based on how SM Line chose the inland trucking providers. The cited testimony of K.K. Choi, SM Line’s corporate designee, shows that SM Line’s obligations on a store door move were the same, including providing chassis to the trucker, regardless of whether a house trucker or CNT was used. CX_000320-21, SM Line 143(b)(6)(Session III) Dep. Tr. 263:7-264:14. In his individual testimony K.K. Choi acknowledged that “door move means that the carrier is going to transport the cargo to the door of the shipper based on the transportation terms” but then attempted to distinguish CNTs by saying “there are other forms of arranging truckers, one such examples would be CNT.” CX_000410; CX_00411, K.K. Choi Dep. Tr. 57:8-14; 58:3-7. However, K.K. Choi in his capacity as corporate designee also acknowledged that SM Line issues work orders to truckers for all store door deliveries, thereby arranging for delivery of cargo, and the process is the same for all truckers. RPFF 63 and 64.

Similarly, RX_001199 does not support SM Line having different obligations under a store door move when its trucker is a CNT. RX_001199 is a SEA manual that makes a distinction

between a house trucker and CNT trucker to the extent SEA has visibility of the load movement and pre-pulling store loads. The document also notes that SEA does not get involved between the ocean carrier and trucking company because everything is prepaid “Door to Door delivery,” *i.e.* all charges incurred inland are pre-paid. *See* RX_0001191 at RX_001199; *see also* CX_004727 at CX_004730 explaining that “[i]f the final destination is an Inland point, the rate is ‘all-in’ meaning it is inclusive of destination inland haulage . . . and all/any other destination surcharges.” The evidence cited by SM Line does not support any attempted distinction between “standard” store door terms or otherwise.

10. SM LINE RPFF 10: Under standard store door terms, SM Line selects the motor carrier “house trucker” that provides the inland transportation to the ultimate destination. CX_000320, K.K. Choi 143(b)(6) Vol. 3 263:7-13.

SEA Response to RPFF 10: Denied to the extent that RPFF 10 proposes a false distinction between “standard store door terms” and presumably “non-standard” store door terms. CX_002981-82; CX_002996, Fernando Dep. Tr. 52:23-53:13; 67:15-19. SEA denies the implication that SM Line had different responsibilities for cargo moving under store door terms based on how SM Line selected the inland trucker. *See* SEA Response to RPFF 9; *see also* CX_002016, Li Dep. Tr. 50:1-18; CX_001350, Askins Dep. Tr. 55:9-55:20. Admitted that SM Line selects, directs, and pays the trucker on a store door move, regardless of whether SM Line chooses a trucker by selecting a house trucker or accepting a customer nomination of a CNT, and that SM Line negotiates the contracts with the chosen truckers regardless of house or CNT to complete the store door shipments. CX_002637-39, Rapske Dep. Tr. 25:17-27:17; CX_000225-27, SM Line 143(b)(6) (Session II) Dep. Tr. 176:6-178:6; CX_002852, Goedinghaus Dep. Tr. 78:3-19; CX_004805, Solarez Dep. Ex. 12.

- 11. SM LINE RPFF 11:** In some service contracts, a customer has the right or ability to designate the motor carrier to be used to provide the inland transportation. In these circumstances, the motor carrier is often referred to as a customer-nominated trucker or “CNT.” *See TCW, Inc. v. Evergreen Shipping Agency (Am.) Corp. & Evergreen Line Joint Service Agreement*, FMC Dkt. 1966(I), Order Affirming the Initial Decision at 2 (Dec. 29, 2022) (identifying a preferred trucker, or “CNT” here, as a designated trucker to be used for a shipper’s cargo under an agreement with the ocean carrier).

SEA Response to RPFF 11: Admitted in part and denied in part. Denied that FMC Dkt. No. 1966(I) supports the statement that “[i]n some service contracts, a customer has the right or ability to designate the motor carrier to be used to provide the inland transportation.” The FMC precedent speaks for itself and should not be proffered as proof in support of a RPFF. SEA denies that the *TCW* case supports the assertion that a motor carrier is often referred to as a customer-nominated trucker or “CNT,” as neither customer-nominated trucker nor “CNT” are written in the cited case. *See generally* FMC Dkt. 1966(I).

- 12. SM LINE RPFF 12:** SEA acknowledges the distinction – and its implications - between door delivery by house trucker and CNT in an internal document titled “Introduction to LPS Direct Ship Operation.” (“SEA CNT Manual”) RX_0001199.

SEA Response to RPFF 12: Denied. RPFF 12 does not proffer the “distinction” or “its implications” that SEA purportedly acknowledged. The 2019 document, RX_0001199, cited in support was not introduced as an exhibit in any fact or expert deposition and has not been authenticated by SM Line in this proceeding. Denied that the cited document is a “SEA CNT Manual.” The cited document has the title “LPS Direct Ship Operation.” *See* RX_0001191. Even if this document were used at SEA, which is unknown as no deposition testimony was elicited

about it or cited by SM Line, the chart SM Line appears to rely on includes a statement that when a CNT is used, SEA has greater visibility into the movement of its cargo and may prepull a container. RX_0001199. The document does not establish that SEA acknowledges a distinction in the ocean carrier's obligations when using a house trucker or a CNT on an inland move, nor does the document establish or speak to the control exercised by the ocean carrier or consignee on an inland move. *See also* CX_002016, Li Dep. Tr. 50:1-18; CX_001350, Askins Dep. Tr. 55:9-55:20.

13. SM LINE RPFF 13: This SEA CNT Manual was used to train SEA employees. RX_000913-15, Huynh Tr. 64:16-65:8, 66:20-67:3.

SEA Response to RPFF 13: Denied. Ms. Ngan Kim Huynh is a third-party witness, hired by a contractor, and was not an employee of Samsung; she cannot establish that this manual was used to train SEA employees on CNTs. RX_0000864-65, Huynh Dep. Tr 15:22-162. RPFF 13 mischaracterizes Ms. Huynh's testimony because when asked what sources of information were used to train her, she stated that "there was a file showing the definitions and training of how things should be going as in the team." RX_0000914, Huynh Dep. Tr. 65:6-8. However, RX_0001199, entitled "LPS Direct Ship Operation," was ***not introduced*** during Ms. Huynh's deposition and she did not establish that she knew about or ever saw the LPS Direct Ship Operation document let alone that it was used to train her or anyone else. *See generally* RX_0000850-994.

14. SM LINE RPFF 14: SEA has an internal approval process utilized prior to making payments, which includes demurrage charges, as "Logistics Cost." RX_0003728; RX_0003732 (The internal "approval table" involves multiple employees, including associates, team head(s), group head(s), and requires at least one of them to be a vice-president of the logistics team).

SEA Response to RPFF 14: Denied. Neither of the cited 2021 email communications (RX_0003728 and RX_0003732), sent by a SEA Logistics Finance Associate who was not deposed, have been introduced during a deposition, and SM Line cites no evidence supporting the proposition that “Logistics Cost” in the document was demurrage charges, or any evidence that the “internal approval process” pertained to demurrage charges. RX_0003728; RX_0003732.

15. SM LINE RPFF 15: This internal process will sometimes have requests or questions about the payments, including the need to use Paycargo. RX_0003726.

SEA Response to RPFF 15: Denied to the extent that RPFF 15 mischaracterizes RX_0003726 because it does not demonstrate the alleged internal approval process was utilized prior to making payments. The isolated Seungkyu Han question, “Do you know why they used paycargo for this one?” in document RX_0003726 does not support the assertion that the unestablished internal process has “requests or questions” with any level of frequency, let alone “sometimes” as stated.

16. SM LINE RPFF 16: Sometimes, SEA would approve invoices without looking at the detail. CX_002728, Rapske Tr. 116:10-17.

SEA Response to RPFF 16: Denied. RPFF 16 mischaracterizes Mr. Rapske’s deposition testimony (cited below) as the cited lines simply discuss a system-generated email without any context to suggest that SEA would approve invoices without looking at them in detail.

[Mr. Deorchis] Do you know what type of charges are involved for this approval?
[Mr. Rapske] Well, this says demurrage, right, on the category.
[Mr. Deorchis] Right.
[Mr. Rapske] Again, I don't know if that's just a general one they use for any charges to the steamship lines without looking at the detail, but, yes, it says demurrage right on the form.

CX_002728, Rapske Dep. Tr. 116:10-17. This testimony does not provide a factual basis for SM Line’s broad, generalized statement that unreferenced “invoices” would be approved.

17. SM LINE RPFF 17: During the contracting process between SM Line and SEA's affiliates or agents, a list of SEA CNTs was provided to SM Line. RX_0004119, RX_0004120 ([REDACTED] providing CNT list to SM Line).

SEA Response to RPFF 17: Denied. Denied that RX_0004119, an email in Korean, for which no translation has been provided, establishes a contracting process because the language of the email cannot be understood. Further denied because the validity and admissibility of both RX_0004119 and RX_0004120 have not been established through any deposition or affidavit. Denied that the attachment, excel spreadsheet (RX_0004120), was shared with SM Line because the "To" line in the email (RX_0004119) is "undisclosed-recipients" and none of the cc email addresses are SM Line domains. *See* RX_0004119.

18. SM LINE RPFF 18: SEA has sent emails to SM Line dictating that a delivery has to be done via SEA's nominated carrier/a.k.a. CNT, and NOT via House Trucker. RX_0002120.

SEA Response to RPFF 18: Denied. Denied that RX_0002120 establishes that any, let alone more than one email, was sent by SEA to SM Line dictating that a delivery has to be done via SEA's nominated carrier. The document cited is in Korean and no translation has been provided. The cited 2017 document was also not introduced during a deposition and its validity or admissibility has not been established.

19. SM LINE RPFF 19: SEA entered into agreements titled "REQUEST TO USE A CUSTOMER NOMINATED TRUCKER" with SM Line regarding the use of CNT, ("CNT Agreement") CX_004545 – 46.

SEA Response to RPFF 19: Denied. CX_0004545 shows that SEA filled out a form entitled "REQUEST TO USE A CUSTOMER NOMINATED TRUCKER" with SM Line regarding the use of a CNT. This document was a request to use motor carriers Gold Point and PBI Industries

but as the document states, once SM Line receives the document, SM Line reviews the CNT's insurance coverage, interchange agreements, rates and confirms whether the CNT meets SM Line's contract requirements. *See also* CX_000225-27, SM Line 143(b)(6) (Session II) Dep. Tr. 176:6-178:6; CX_004848-60. The form expressly states SM Line controls the CNT determination: "Based on the information provided, SM Line Corporation will evaluate whether to allow customer to use the customer nominated trucker, referred to in this document as Customer Nominated Trucker (CNT)." CX_0004545. Further, RPFF 19 is denied to the extent that the document it relies upon is not limited in scope or to a particular time period, and SM Line has failed to produce any "CNT Agreement" for the Relevant Time Period (*i.e.*, 2020-2022). CX_000215-17; CX_000235-38, SM Line 143(b)(6) (Session II) Dep. Tr. 166:5-168:14; 186:6-189:4. Moreover, if the two forms were indeed valid agreements, which SEA contends it is not, it would have only been valid for one year. CX_005575, CX_005579. As established by SM Line's own system, these agreements need to be renewed on annual basis. CX_005575; CX_005579, SM Line_0058956 at SM Line_0058956, SM Line_0058960. The legal basis for rejecting the notion of this "form" as being a binding "agreement" is addressed in SEA's Reply Brief. *See* SEA Reply Br. § (6)(a)(3)(c).

20. SM LINE RPFF 20: Peter Kim in his capacity as SEA's Senior Manager executed the CNT Agreement. CX_004545-46.

SEA Response to RPFF 20: Admitted in part and denied in part. Admitted that Peter Kim signed this request. Denied that it is an agreement between SEA and a CNT and that Mr. Kim "in his capacity" as a senior manager had the authority to execute on SEA's behalf, as sworn corporate deposition testimony shows otherwise. CX_002337-38, SEA 143(b)(6) Dep. Tr. 90:22-91:11.

21. SM LINE RPFF 21: The CNT Agreement provides for the responsibilities of the shipper in the event that CNT is used. ("#1. [REDACTED])

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]”) CX_004969.

SEA Response to RPFF 21: Denied. The request form was signed by an employee of the consignee, not the shipper of the cargo, and does not provide any basis for supporting the “responsibilities of the shipper in the event that CNT is used.” CX_003181, P. Kim Dep. Tr. 55:13-23; CX_004545-46; CX_002337-38, SEA 143(b)(6) Dep. Tr. 90:22-91:11. Denied to the extent that RPFF 21 mischaracterizes CX_004969 as a CNT Agreement when it is a Request Form. Moreover, the quoted language from CX_004969 referred to as “terms and conditions” do not “provide for the [inland transportation] responsibilities” of a shipper or an ocean carrier for inland transportation under a through bill of lading, which are governed by applicable law and statute, including the Harter Act. SEA Reply Br. § IV(c)(6)(b)(1). SEA did not have any understanding that filling out the form would materially alter the transportation obligations of the ocean carrier to the consignee, SEA. CX_003181, P. Kim Dep. Tr. 55:13-23; CX_004545-46. Testimony concerning the forms confirm the purpose was to receive the complete information on two potential CNTs for consideration by SM Line and not to set a unilateral list of responsibilities. CX_003180; CX_003181, P. Kim Dep. Tr. 54:12-16; 55:13-23; CX_004545-46, SM Line 143(b)(6) (Session II) Dep. Ex. 2; CX_002340, SEA 143(b)(6) Dep. Tr. 93:5-9. Finally, the “terms and conditions” do not actually “provide for the responsibilities” of a shipper because none of the conditions were true in fact: the carrier did not act as the agent of the shipper when arranging trucking; the contract of carriage for inland transport was in fact between SM Line and the CNT

truckers; SM Line in fact hired and paid the CNT truckers. CX_002637-39, Rapske Dep. Tr. 25:17-27:17; CX_000225-27, SM Line 143(b)(6) (Session II) Dep. Tr. 176:6-178:6; CX_004805, Solarez Dep. Ex. 12 at 1; CX_001369, Askins Dep. Tr. 74:15-74:19.

22. SM LINE RPFF 22: PB Industries and Gold Point Transportation were the top two biggest truckers that handled SEA shipments (in volume) between 2018 and 2021. RX_0004591.

SEA Response to RPFF 22: Denied. The cited document does not support the proposition that “PB Industries and Gold Point Transportation were the top two biggest truckers that handled SEA shipments (in volume) between 2018 and 2021.” SM Line’s 143(b)(6) witness K.K. Choi testified that RX_0004591 was trucker volume for “Samsung and other customers. So this is for SM Line. So starting in 2018, it is showing the overall performance of SM Line transportation;” the document does not accurately reflect the volume of SEA shipments moved by both truckers. SM Line 143(b)(6) (Session II) 184:7-25.

23. SM LINE RPFF 23: SEA never terminated this CNT Agreement. CX_004969, Goedinghaus Tr. 78:3-8, RX_0004591.

SEA Response to RPFF 23: Admitted in part and denied in part. Admitted that Mr. Goedinghaus, was provided this form in his deposition, and testified that SEA did not affirmatively terminate it to his knowledge. Denied that RX_0004969 is a binding agreement. *See* SEA Response to RPFF 19. Assuming *arguendo* it was an agreement, it is denied that the CNT Agreement remained valid past the life-span of one year. *Id.* Indeed, the CNT form was valid for one year, at which point it automatically terminated obviating the need for any affirmative termination. CX_005575; CX_005579, SM Line_0058956 at SM Line_0058956, SM Line_0058960.

24. SM LINE RPFF 24: According to the SEA CNT Manual Peter Kim oversaw 8 different divisions of Direct Ship organization. RX_0001193.

SEA Response to RPFF 24: Denied. RPFF 24 mischaracterizes and improperly refers to RX_0001193 as the “SEA CNT Manual” when the document is called “Introduction to LPS Direct Ship Operation” and discusses topics outside of CNTs. Further, as previously stated, the validity, use and admissibility of this document has not been established. Even if this document were authenticated, used by SEA, and admissible to this proceeding, the chart alone does not establish that Peter Kim oversaw eight different divisions of the Direct Ship organization. SM Line deposed Mr. Kim and had an opportunity to establish his role at SEA but did not establish that he oversaw 8 divisions of the Direct Ship organization. RPFF 24 is further denied because “Direct Ship organization” is undefined. Further, to the extent that “8 different divisions” refers to the eight names and positions listed under those names in the chart on page RX_0001193, this chart alone does not establish that there is a “Direct Ship organization” nor that each of these individuals represents a different division which Peter Kim oversaw. RPFF 24 is further denied for failure establish the time frame during which it asserts that Peter Kim oversaw this so called “8 different divisions of the Direct Ship organization.” Mr. Kim’s role was direct ship manager role for four to five years and he monitored shipments from factories to the customers. CX_003152-55, P. Kim Dep. Tr. 26:11-29:3.

25. SM LINE RPFF 25: [REDACTED] and [REDACTED] had CNT related provisions like lists of CNTs in their respective contract bidding documents called “Maritime transport contract quotation guide”. RX_0002962. (“[REDACTED] RFQ”) (“[REDACTED]
[REDACTED].”) Id.

SEA Response to RPFF 25: Admitted in part and denied in part. Admitted to the extent the title of the document is “Maritime transport contract quotation guide.” Denied as this purported proposed finding of fact seeks to mischaracterize the record. The Maritime transport contract

quotation guide is a Request for Quote (“RFQ”). RX_0002947. The RFQ clearly states that “[REDACTED]

[REDACTED]

[REDACTED].” RX_0002947 at RX_0002948. That is, it is only a request for a proposal, and not a binding contract which requests that where a CNT is available, such CNT must be used. *Id.* The RFQ contains initial terms which were never manifested in a service contract between SM Line and SEA or any related entities. RX_0004485-501; RX_0004502-18; RX_0004519-41; RX_0004542-62; RX_0004563-83. Further, during the Relevant Time Period, there was no CNT list incorporated into a service contract. Finally, the Maritime transport contract quotation guide has not been authenticated by SM Line and cannot be relied on for the implied proposition that a CNT list was incorporated in a service contract for these Samsung entities.

26. SM LINE RPFF 26: The [REDACTED] RFQ also addressed demurrage and detention issues.
 (“[REDACTED]
[REDACTED])”) RX 0002949.

SEA Response to RPFF 26: Denied. The proffered PFFF states the document addresses “demurrage and detention issues” yet, the quoted language addresses freight rates “excluding diversion/detention/demurrage.” RX 0002949.

27. **SM LINE RPFF 27:** SEA nominated the CNTs that SM Line needed to use for moving SEA's containers. SEA communicated with [REDACTED] about CNT issues. (" [REDACTED]
[REDACTED]
[REDACTED] ") RX 0002925-26.

SEA Response to RPFF 27: Denied. RX_0002925 does not show that SEA nominated the CNTs that SM Line needed to use for moving SEA's containers. The cited support only references one

CNT in one email chain in 2020. The cited evidence does not support the assertion that SEA mandated or required SM Line to use CNTs that SEA recommended as SM Line had the ultimate decision-making authority on whether to use truckers. *See* PFF 49; CX_001139, Solarez Dep. Tr. 70:1-17; CX_002351-52, SEA 143(b)(6) Dep. Tr. 104:20-105:13. Admitted that RX_0002925–26 does contain the cited quotes but denied that these quotes or this email chain establish that SEA nominated the CNTs that SM Line “needed to use” for moving SEA’s containers. SM Line was the ultimate decision maker on CNTs and SM Line, not SEA, must approve using the CNT, and SM Line, not SEA, hires the CNT before moving any SEA shipments. CX_002637-39, Rapske Dep. Tr. 25:17-27:17; CX_000225-27, SM Line 143(b)(6) (Session II) Dep. Tr. 176:6-178:6; CX_004805, Solarez Dep. Ex. 12 at 1; CX_001369, Askins Dep. Tr. 74:15-74:19. Further, the email chain does not establish that SEA communicated with [REDACTED] about CNT issues because the email chain is between an SM Line person and a [REDACTED] person, not an SEA employee.

28. SM LINE RPFF 28: SEA selected its CNT based on its loyalty, communication, and contingent capacity issues, in addition to their knowledge of SEA’s operations and requirements. (“We, SEA InBound team, *aren’t* [sic] satisfy Versa’s services during year of 2018 and 2019 as the below reasons; 1. Loyalty, 2. Communications, 3. Contingent capacity issue.” RX_0003712-15.

SEA Response to RPFF 28: Denied. The one email chain communication represented in RX_00003712–15 does not establish SEA’s basis for recommending all CNTs outside this particular instance. In the email chain, a SEA employee explains that a trucker who provided services in 2018 and 2019 (outside the scope of the claims at issue in this proceeding), was unsatisfactory based on the criteria of loyalty, communications and contingent capacity issues. The evidence cited by SM Line does not establish SEA’s purported selection criteria for a CNT(s)

during the timeframe relevant to this proceeding. *See also* PFF 48. Further, the document does not speak to the topic of “knowledge of SEA’s operations and requirements.”

29. SM LINE RPFF 29: SEA characterized customer-nominated truckers as truckers that SEA would recommend for a particular lane for SM Line to consider, define rates, and determine whether or not to use the trucker. RX_0003715

SEA Response to RPFF 29: Denied. The proffered evidence does not support this proposed fact: RX_0003715 is a 2020 email chain where there is no statement made that a CNT is recommended for a particular lane. In addition, SEA further denies this proposed fact as vague because the term “characterize” is undefined; SEA did not “characterize” CNTs as “truckers recommended for a particular lane for SM Line to consider, define rates, and determine whether or not to use”; rather, this is a fact that is reflected in SM Line’s own documents setting forth this understanding of what a CNT is. Indeed, the CNT form expressly states SEA nominates the CNT and then SM Line “would consult the [CNT] to review the CNT's insurance coverage, interchange agreements, rates and confirm whether the CNT meets SM Line's contract requirements,” and then SM Line would “evaluate whether to *allow* customer to use the [CNT].” SEA CX_004969-70, SEA 143(b)(6) Dep. Ex. 2 (emphasis supplied). Tellingly, the record testimony from SM Line’s own officials demonstrate the foregoing is SM Line’s understanding of what a CNT is as well. CX_000230, SM Line 143(b)(6) Dep. Tr. 181:8-13 (“Q. After SM Line approves a request to use a customer nominated trucker, what does SM Line do with that information? A. We register the trucker information onto our system so that the trucker would handle the transportation for the relevant routes, *as requested by the customer.*”); CX_000415-16, K.K. Choi Dep. Tr. 62:23-63:2 (“[W]hen it comes to a CNT, what we are to do is to utilize a trucker as designated by the customer **at the**

request of the customer.”). CX_004805, Solarez Dep. Ex. 12 at 1; CX_001421, Askins Dep. Tr. 126:9-14 (emphasis added).

30. SM LINE RPFF 30: SEA CNT Manual acknowledges the differences between a CNT and house trucker. RX_0001199.

SEA Response to RPFF 30: Denied. SEA incorporates by reference its response to RPFF 12 which explains that RX_0001199 is not a SEA “CNT Manual” and that SM Line provides no support for its purported “difference” between a CNT and house trucker.

31. SM LINE RPFF 31: SEA CNT Manual states how a CNT allows SEA’s “
[REDACTED]
[REDACTED]”. RX_0001199.

SEA Response to RPFF 31: Denied. *See* Response to RPFF 30. In regard to the quoted language, the words “
[REDACTED]” and “
[REDACTED]
[REDACTED]” appears in this document but denied that it supports the implication proffered by SM Line that SEA “managed” SM Line truckers.

32. SM LINE RPFF 32: SEA CNT Manual also acknowledges that the steamship Line is the “main contact” when a house trucker is used. RX_0001199.

SEA Response to RPFF 32: Denied. *See* Response to RPFF 30. Moreover, the “main contact” implication proffered by SM Line is not supported by the language in the document page itself. SM Line decided to hire truckers, including CNTs, and accepted truckers. PFF 50.

33. SM LINE RPFF 33: SM Line was required to use CNTs under the contracts with
[REDACTED]
[REDACTED] and its contracts with [REDACTED]. RX_0002926.

SEA Response to RPFF 33: Denied. SM Line mischaracterizes the cited document and the cited document does not support the proposition asserted. SM Line relies on an email communication

(RX_0002926) dated January of 2020. In it, SEA “request[ed]” to use CNT Gold Point, specifically, for the Ontario lane. Nowhere in this communication does SEA mandate or require SM Line to use Gold Point as a CNT -- as SM Line suggests. Moreover, SM Line fails to cite *any* service contract or other document in support of the proposition that SM Line was required to use CNT’s. The uncontroverted record demonstrates that SM Line has failed to establish the alleged “Service Contacts” were binding and has failed to establish that CNTs were “required.” *See* SEA’s Responses to RPFF 4, 5; SEA’s Reply Br. § IV(C)(6); CX_000413-14, K.K. Choi Dep. Tr. 60:21-61:25; CX_002352, SEA 143(b)(6) Dep. Tr. 105:6-13; CX_004805, Solarez Dep. Ex. 12 at 1 (illustrating SM Line, not SEA, had final authority on whether to utilize a CNT).

34. SM LINE RPFF 34: SEA requirement to use the CNTs was manifested by SEA to SM Line in several occasions. RX TBD - RX_0002935 - RX_0002945 (SEA insisting that SM Line only uses the CNT and not house trucker); RX TBD - RX_0002925- RX_0002926 (SEA insists on using Gold Point as its CNT even when more expensive).

SEA Response to RPFF 34: Denied. This is a mischaracterization as neither of the documents cited in support of RPFF 34 shows SEA *insisting* upon using a CNT or that SEA itself is involved in these communications at all; a Samsung entity is addressing a request for a CNT while SM Line is in negotiations with a trucker over its rates. In addition, RX_0002935–45 is an email chain from 2017, which is outside the timeframe of the claims in this proceeding and therefore has no probative evidentiary value. Additionally, portions of the communications in this email chain are missing and it is not possible to fully assess the contents of the email chain. SM Line fails to establish that SM Line was “required” to use CNTs (*see* SEA’s Response to RPFF 33; PFF ¶¶ 47-49, 50-54) and the cited evidence does not “manifest” a requirement that did not exist.

35. SM LINE RPFF 35: When SM Line proposed to use alternative truckers, SEA raised questions and pressured SM Line to use SEA's CNT. RX_0003712, RX_0002929.

SEA Response to RPFF 35: Denied. The RX_0003712 email communication is from 2019 and outside the scope of the claims in this proceeding and therefore has no probative value. Further, the validity, use, and admissibility of email chains RX_0003712 and RX_0002929 has not been established. The cited email chain does not establish that SEA pressured SM Line to use a CNT, but rather shows that (1) when the trucker selected to perform services stated they could not, SEA asked for another trucker, Gold Point, who incidentally is also a SM Line house trucker, to be considered and (2), affirmatively acknowledged that Gold Point's rates needed to be approved by SM Line. RX_0003712. Likewise, RX_0002929, shows SEA asking permission to setup a "Secondary CNT" because of the "lack of capacity in the United States," which in no way supports the false assertion that "SEA raised questions and pressured SM Line to use SEA's CNT." In both documents, SEA recognized that there were capacity issues preventing a trucker from providing sufficient capacity and requested that SM Line consider an alternative or additional trucker to complete its store door move obligations.

36. SM LINE RPFF 36: SM Line's tariff rule "Customer Nominated Trucker for Store Door Delivery" applicable to and incorporated in the service contracts between SM Line and SEA's affiliates provides in relevant parts that:

When Customer (including but not limited to shipper, consignee, or any other interest party (eg. Owner of the cargo) nominates its own trucker(s) (hereinafter "CNT") or prefers to use particular trucker(s) (hereinafter "PT") instead of trucker(s) appointed by

Carrier (hereinafter "house trucker") for certain door delivery(s) to a cargo receiver, the following terms and conditions shall apply:

1. Carrier will only act as the agent for the customer for purposes of arranging the trucking, and the trucking service is between the trucker and Customer.

2. Even though Carrier's base rates may be inclusive of inland services (eg. SDD (store door delivery rates)), if CNT or PT imposes a drayage or fuel rate increase, or other charges or fees, any such new or additional amounts shall solely be with Customer.

3. Delivery to Customer is completed when the container is interchanged to CNT

4. or PT. Carrier shall not be responsible for any claims, damages, and liabilities that are caused by or occurred after the interchange is made, and Customer shall defend, hold harmless, and indemnify Carrier against or from any and all such claims, damages, or liabilities caused or occurred after the interchange.

5. Blanket Deliver order (D/o) shall be applied unless we receive written correspondence from the cargo owner or broker, advising that a specific Delivery order (D/o) shall be used.

6. If CNT or PT does not or refuses to pick up nor take possession of the applicable containers within the given free time for any reason (including but not limited to change(s) in rates or lack of drivers, any risks or costs (including but not limited to DEM/DET) that occur during this time of the trucker's non-performance shall solely be with customer.

7. Customer, with thirty (30) day prior written notice, may opt out of CNT or PT arrangement and request for carrier to use carrier's house-trucker(s). carrier, at its exclusive discretion and availability of trucking service provider, may agree to such request. Any cost (including but not limited to increased rates,

and any DEM/DET during the time) of hiring and utilizing different truckers shall solely be with customer.

8. This term shall not be subject to any amendment or modification except by clearly agreed upon and executed agreement by carrier and Customer.

CX_004483 – 84

SEA Response to RPFF 36: Denied. RPFF 36 is denied as it calls for a conclusion of law and thereby is not a proposed finding of fact. SEA further denies RPFF 36 to the extent it proclaims this tariff provision is applicable and incorporated into service contracts when there are no service contracts listed and there is no document or testimony supporting the tariff's applicability or incorporation.

37. SM LINE RPFF 37: The effect of the foregoing tariff rule is to make clear that the CNT is the agent of the party nominating the CNT.

SEA Response to RPFF 37: Denied. RPFF 37 calls for a conclusion of law and therefore is not a proposed finding of fact. There is no factual support in the record or cited for this RPFF and it therefore should be denied. Moreover, RPFF 37 is not consistent with the actual practice, as it was SM Line, not SEA, that was responsible for inland movement of cargo and therefore approved and hired the CNTs on its own behalf nor as an agent of SEA or anyone else. CX_002637-39, Rapske Dep. Tr. 25:17-27:17; CX_000225-27, SM Line 143(b)(6) (Session II) Dep. Tr. 176:6-178:6; CX_004805, Solarez Dep. Ex. 12 at 1; CX_001369, Askins Dep. Tr. 74:15-74:19.

38. SM LINE RPFF 38: SM Line's tariff is publicly available, including to SEA.
https://esvc.smlines.com/smline/CUP_HOM_3701.do?sessLocale=en

SEA Response to RPFF 38: Admitted in part and denied in part. Admitted that SM Line published a general tariff at the website identified. Denied that the mere reference to its availability publicly has any bearing on this proceeding as SM Line fails to provide any deposition testimony or document support for its particular application.

39. SM LINE RPFF 39: The effect of the foregoing tariff rule is to place the risk of CNT non-performance on the party designating the CNT, making a store door move with a CNT similar to a CY move in which the customer is responsible for the inland transportation.

SEA Response to RPFF 39: Denied. RPFF 39 calls for a conclusion of law and therefore is not a proposed finding of fact. There is no factual support in the record or cited for this RPFF and it therefore should be denied. SM Line contends that it can radically and unilaterally terminate its legal responsibility and to deliver a container under a store door move, in effect amending the bill of lading, without the knowledge or consent of the counter-party when SM Line is responsible for arranging the transportation of cargo over land, including lining up chassis with intermodal equipment providers and hiring truckers. CX_004461, Smith Report ¶ 32. Under store door

shipments, cargo moves under a through bill of lading whereby an ocean carrier, SM Line, bears the responsibility as the common carrier for both the ocean and inland transportation of the cargo, which inland transportation could involve rail, trucking or both. CX_004452, Smith Report ¶ 17; CX_004328, Expert Report of John McCown dated Feb. 21, 2024 (“McCown Report”), ¶ 3. The vast majority of SEA shipments with SM Line moved under store door terms. CX_002637; CX_002706, Rapske Dep. Tr. 25:8-16; 94:3-15. And under store door terms, inland transportation costs, including D&D charges, are the ocean carrier’s responsibility, except in limited circumstances where a delay in the shipment was actually caused by the consignee (*e.g.*, SEA cannot receive a container otherwise ready for delivery). CX_002643- 44; CX_002650, Rapske Dep. Tr. 31:11-32:12; 38:11-18; CX_002378; CX_002382-83, SEA 143(b)(6) Dep. Tr. 131:9-23; 135:12-136:3; CX_004333-34, McCown Report ¶ 20.

40. SM LINE RPFF 40: SM Line’s tariff rule “Use of Carrier Equipment at Destination” applicable to and incorporated in the service contracts between SM Line and SEA’s affiliates clearly define detention and per diem charges:

Definition

Detention is the daily charge assessed to the shipper/consignee, against the ocean carrier’s equipment, for the use of the equipment beyond allowed freetime, as stipulated per tariff or contract, and moving under carrier arranged haulage on a store door (sd) bill of lading. Working days are used to calculate freetime, whereas calendar days are used to calculate detention charges beyond freetime,

per diem is the daily charge assessed to the drayman, or at the carrier’s option to the shipper or consignee, against the ocean carrier’s equipment, for the use of the equipment beyond allowed freetime, as stipulated per tariff or contract, and moving under merchant arranged haulage on a container yard (cy) bill of lading. Working days are used to calculate freetime, whereas calendar days are used to calculate per-diem charges beyond freetime.

[...]

RX_0001445.

SEA Response to RPFF 40: Admitted to the extent the quoted language is accurately transcribed from SM Line’s tariff rule “Use of Carrier Equipment at Destination”, dated 2018-06-26. Otherwise, SEA denies RPFF 40 as it calls for a conclusion of law and therefore is not a proposed finding of fact. Further, SM Line provides no evidence that has been authenticated in this proceeding to support its statement that the tariff rule “Use of Carrier Equipment at Destination” is applicable to or incorporated into any service contracts between SM Line and Samsung entities.

41. SM LINE RPFF 41: SM Line tariffs are incorporated in the applicable service contract.

RX_0004495. (“





”).

SEA Response to RPFF 41: Denied. SM Line has failed to authenticate any service contracts in this proceeding. Further, the purported “applicable service contract” at RX_0004485-501 is dated January 1, 2020, it is not executed, and there is no evidence that it is final or legally binding on the parties to the service contract (which does not include SEA).

42. SM LINE RPFF 42: SM Line tariffs are incorporated in the terms and conditions of the applicable bills of lading on which SEA is named as the consignee. SM Line_0184142, SEA’s Expert Report Ex. 5 p.1. (“Seaway Bill Terms and Conditions”). (“The “Conditions of Carriage” of the seaway bill terms also clearly state that “This Waybill, which is not a document of title to the Goods, is subject to the terms and conditions, liberties, and

exceptions of the Carrier's standard bill of lading and tariff, copies of which may be obtained from the Carrier's office and those of his authorized agents, and to the provisions set out below.") RX_0002301.

SEA Response to RPFF 42: Denied. RPFF 42 is not supported by the evidence cited. There is no evidence proffered as to what are the "applicable bills of lading." There is no "SEA Expert Report Ex. 5 p.1" and none of SEA's expert reports reference alleged SM Line seaway bill terms and conditions. *See generally*, McCown Expert Report, McCown Rebuttal Report, and Smith Expert Report. Further denied as RX_0002301 was not authenticated during this proceeding and appears to simply be a two-page document containing only generic references to "carriers" and shippers," with no reference to SM Line specifically. *See* RX_0002301.

43. SM LINE RPFF 43: SEA also received notice of the applicable tariffs from SM Line via email. RX_0001443.

SEA Response to RPFF 43: Denied. RPFF 43 calls for a conclusion of law and therefore is not a proposed finding of fact. Specifically, whether SEA was put on notice upon dissemination of an email is a legal conclusion. RPFF 43 is also denied as it does not define the meaning of "applicable tariffs." Concerning the email itself, it and the attachment cited indicate a single occasion in 2020 when an official of SM Line emailed an employee of SEA regarding an individual tariff rule for "EQ detention."

44. SM LINE RPFF 44: Even under the Service Agreement between SM Line and SEA's affiliates, the service requirement distinguishes and separates demurrage and detention charges from carrier's service rates. (" [REDACTED]

[REDACTED]

[REDACTED].” CX_004732, K.K.

Choi Dep. Ex. 8 Section 4.1.12.

SEA Response to RPFF 44: Denied. SM Line cites a “Service Agreement” between SM Line and a Samsung entity and makes sweeping statements regarding its applicability to SEA. Imposing charges pursuant to a tariff does not cure SM Line’s unreasonable actions. Further, the service agreement cited by SM Line is a purported service agreement for the year 2020, between [REDACTED] and SM Line only. SM Line provides no evidence that this is a final or legally binding document. The reference to “carrier’s service rates” is vague and has no connection with the quoted language.

45. SM LINE RPFF 45: SEA also used to mandate the use of certain CNTs through a “Request to Use a Customer Nominated Trucker” form which also established that the carrier would act as the agent of the customer. CX_004969-004970, Choi Dep. Exhibit 2.

SEA Response to RPFF 45: Denied. The cited document does not support the proffered facts as SEA did not “mandate” any trucker to carry its cargo; rather, SEA recommended truckers to SM Line. *See* CX_000409-10, K.K. Choi Dep. Tr. 56:23-57:14; CX_002367-68, SEA 143(b)(6) Dep. Tr. 120:25-121:10. SM Line is not required to use a CNT that SEA has recommended or nominated; rather, SM Line evaluates and makes the decision whether to accept or reject a CNT. The CNT Form itself explicitly states “SM Line [] will evaluate whether to allow customer to use the customer nominated trucker, referred to in this document as Customer Nominated Trucker (“CNT”).” CX_005656, SEA 143(b)(6) Dep. Ex. 2. SM Line maintains the authority to reject a CNT recommendation. CX_000413-14, K.K. Choi Dep. Tr. 60:21-61:25; CX_002352, SEA 143(b)(6) Dep. Tr. 105:6-13; CX_004805, Solarez Dep. Ex. 12 at 1 (“Longdo is Samsung’s preferred trucker to Manteca, CA. As per email below, Samsung sent the delivery info directly to Longdo Trucking. But per SELRKT, it’s our choice to use any trucker to this location.”)With

respect to the “agency of the customer” portion of the RPFF, SM Line remained the statutory inland common carrier, and SM Line in fact contracted for the trucking. Pursuant to a contract, SM Line, not SEA, hires the CNT before moving any SEA shipments, (CX_002637-39, Rapske Dep. Tr. 25:17-27:17; CX_000225-27, SM Line 143(b)(6) (Session II) Dep. Tr. 176:6-178:6; CX_004805, Solarez Dep. Ex. 12 at 1; CX_001369, Askins Dep. Tr. 74:15-74:19), and SEA was unaware of the “contract terms between [SM Line] and [the CNT].” CX_002320-21, SEA 143(b)(6) Dep. Tr. 73:12-74:2; CX_002848-49, Goedinghaus Dep. Tr. 74:24-75:23; CX_002645, Rapske Dep. Tr. 33:3-23. Finally, there is no separate transportation agreement between any CNT and SEA; the contractual arrangements for the movement of cargo (*e.g.*, with trucking companies, railroads, marine terminals, etc.) were handled entirely by SM Line. CX_002989-90, Fernando Dep. Tr. 60:8-61:2; CX_002308-09, SEA 143(b)(6) Dep. Tr. 61:21-62:14.

46. SM LINE RPFF 46: SEA concedes that accessorial charges are not included in the freight rates regardless of whether a container is moved on CY or store door basis. CX_002665-66_Rapske Dep. Tr. 53:21-25; 54:1, Fernando Tr. 115:19-116:4. (Trucker’s storage fees and prepull are also considered accessorial charges).

SEA Response to RPFF 46: Denied. Neither witness cited is a 143(b)(6) witness authorized to speak on behalf of or bind SEA as to any company wide “concession” as they were testifying in their individual capacity. The testimony cited on accessorial charges does not address CY or store door terms. Ms. Fernando testified that pre-pull charges are accessorial charges. CX_003044-45, Fernando Dep. Tr. 115:19-116:4. Nowhere does she proclaim accessorial charges are not included in the freight rates of CY or door moves. Ms. Fernando’s testimony does not even concern CY or store door terms. Mr. Rapske acknowledges that accessorial charges fall outside of regular freight rates but also acknowledges that SEA is trying to recover “detention, demurrage, accessorial

charges that were charged to Samsung to pay in advance to get [SEA] containers released” as they were unreasonable. CX_002646, Rapske Dep. Tr. 34:11-13.

B. SEA DIRECTLY CONTROLLED THE PERFORMANCE OF THE CNTS AND WAS VOCAL WITH SM LINE ABOUT THE NEED TO USE CERTAIN CNTS.

SEA Response to SM Line RPFF Header B: SEA denies the allegations set forth in heading “B” of SM Line’s proposed findings of fact, as SM Line, not SEA directly controlled the CNTs. SM Line, not SEA, must approve using the CNT, and SM Line, not SEA, hires the CNT before moving any SEA shipments. CX_002637-39, Rapske Dep. Tr. 25:17-27:17; CX_000225-27, SM Line 143(b)(6) (Session II) Dep. Tr. 176:6-178:6; CX_004805, Solarez Dep. Ex. 12 at 1; CX_001369, Askins Dep. Tr. 74:15-74:19. SEA did not assert any dominion over the CNTs whatsoever as SEA typically “introduce[s] SM Line and the [CNT], and they work out the details,” without “[SEA getting] involved.” CX_002848-49, Goedinghaus Dep. Tr. 74:24-75:23. That is, the utilization of a CNT did not require SEA to arrange the inland transportation of the cargo and did not change SM Line’s common carrier responsibility to transport the cargo. CX_001350, Askins Dep. Tr. 55:9-55:20. SM Line’s record even demonstrates the contrary to Header B, including via an email from Andrea Askins negotiating a rate with a CNT, saying she must get approval from Korea HQ, and she cannot accept a higher rate than current market. RX_0004169-74.

Further, all truckers – whether CNTs or house truckers – must meet SM Line’s “contract requirements” to be approved, which includes insurance coverage, a signed interchange agreement, and agreed upon rates. CX_000225-27, SM Line 143(b)(6) (Session II) Dep. Tr. 176:6-178:6; CX_004848-60, Askins Dep. Ex. 3. In addition, all SM Line work orders issued to truckers (whether house trucker or CNT) specifically directed truckers to contact a designated SM Line employee, as the “person in charge” (“PIC”) of the work order as soon as possible if the order could not be completed timely. CX_004516, SM Line 143(b)(6)(Session I) Dep. Ex. 4;

CX_003645-46, Clair Dep. Tr. (Vol. 2) 273:11-274:25. CNTs negotiate their rates with SM Line, and SM Line can, will, and did in fact reject a CNT if it believes the rates are too high. CX_004816, Solarez Dep. Ex. 13 at 1; CX_002985-86, Fernando Dep. Tr. 56:7-57:20. Nothing in the service contracts state a CNT should not follow SM Line's instructions. CX_001373-74; Askins Dep. Tr. 78:15-79:23.

47. SM LINE RPFF 47: SM Line issued the work orders related to the delivery of SEA's container to SEA's CNTs based on the information provided by SEA. CX_004516, RX_0004471; RX_0004205; RX_0004479.

SEA Response to RPFF 47: Denied in part and admitted in part. Admitted that SM Line issued the work orders to truckers of SEA's cargo. Denied that SM Line's work order to a CNT trucker was based on information from SEA, other than the delivery address provided to SM Line for all containers regardless of the trucker SM Line used. *See, e.g.*, RX_0000154-56 (January 2022 work order issued to Spirit Transport Systems listing Christopher Solarez as the "PIC" and containing note to trucker to "[p]lease advise the person in charge of this work order as soon as possible, if this order cannot be done before the expected arrival time at destination"); RX_0000157 (July 2022 work order to Gold Point containing same PIC designation and language); RX_0000178 (June 2021 work order to Polly Trans Express containing same); CX_002345-46, SEA 143(b)(6) Dep. Tr. 98:3-99:10. In addition, SM Line's instructions and direction to CNTs extended far beyond only issuing work orders. For a newly nominated CNT trucker, SM Line would reach out to the CNT, tell such CNT it has been nominated, and that SM Line was going to engage in a relationship to pay them. *See* Askins Dep. Tr. 125:20-128:11.

48. SM LINE RPFF 48: SEA's issued detailed instructions to its CNTs related to the delivery of the containers. RX_0003622, Exhibit 4 to Fernando Deposition (SEA providing

instructions to Regal); Exhibit 5 to Fernando Deposition RX_0004126, (SEA providing instructions to PBI); RX_0000946, Huynh Tr. 97:16-25.

SEA Response to RPFF 48: Denied. The SEA “instructions” referenced were general information that went out for every shipment of SEA cargo. CX_003007-08, Fernando Dep. Tr. 78:20-79:8. During the Relevant Time Period, for store door moves with a CNT involved, SEA had additional visibility and communication with truckers, but not additional financial and legal responsibility for the trucking carriage to the final, inland destination. CX_003010, Fernando Dep. Tr. 81:9-16. Such responsibility remained with SM Line. CX_000382, K.K. Choi Dep. Tr. 29:10-16; CX_000912-13, Lee Dep. Tr. 48:21-49:5; CX_001368, Askins Dep. Tr. 73:11-20.

49. SM LINE RPFF 49: SEA would send the instructions on “how we deliver to the customers”) to the CNTS for each shipment. CX_00406, Lee Clair Rep ¶59-62. RX_0003622, Fernando Dep. Exhibit 4 (p.2), CX_003007-08, Fernando Tr. 78:20-79:5.

SEA Response to RPFF 49: Admitted in part and denied in part. SEA would send general instructions for shipments but the evidence proffered does not make a specific distinction between CNT shipments versus house trucker shipments. RX_0003622, Fernando Dep. Exhibit 4 (p.2); CX_003007-08, Fernando Dep. Tr. 78:20-79:5 (confirming the instructions set forth in Exhibit 4 were sent to all truckers). Further, SEA incorporates by reference its denial to RPFF 48.

50. SM LINE RPFF 50: SEA also instructed the CNT to provide daily report to SEA. Huynh Tr. 97:16-18; RX_0003622, Fernando Dep. Exhibit 4 (“IMPORTANT NOTES FOR TRUCKERS (for CNT TRUCKERS, provide the daily report).

SEA Response to RPFF 50: Denied. SEA admits RPFF 50 to the extent that SEA did request CNTs to provide a daily report, however, SEA denies the characterization that asking for a daily report is equivalent to SEA asserting control over the CNT as SM Line maintained control over

the CNTs during the Relevant Time Period. CX_003010, Fernando Dep. Tr. 81:9-16; CX_004716, K.K. Choi Dep. Ex. 4; CX_003645-46, Clair Dep. Tr. (Vol. 2) 273:11-274:25.

51. SM LINE RPFF 51: SEA's instructions included details for the CNT on how to deliver the containers to certain customers. (For example, SEA providing the following instructions

Important New Notes:... “* All ACCESSORIAL CHARGES need approval from SAMSUNG.”

“Unloading: Lowe's will unload the units at 72-96 hours from the drop date. If container is not empty after 72-96 hours, please communicate to SAMSUNG.”

“Vendor Compliance: the loads must be delivered before the RDD [“Required Delivery Date”] or within the RDD to avoid the penalty for being late.”

“Port/ Rail LFD: loads must be prepulled before the LFD. Send the break down (prepull rate/ storage rate and drop date), for approval.”

“Per Diem: if empty is not returned due to trucker's negligence (not monitoring, oversight and etc), trucker will be liable.”

RX_0003645 - RX_0003646.

SEA Response to RPFF 51: Admitted in part and denied in part. Admitted that the text cited in RPFF 51 appears in the cited document. The instructions were to ensure the efficient unloading of cargo, which was critical with supply chain disruptions. CX_002414-15, SEA 143(b)(6) Dep. Tr. 167:13-168:14 (“So I told you the priority was to move the containers. It wasn't – of course, bleeding money or the cost wasn't as important as much – but at that point of time, the containers weren't moving, and that was a priority for Samsung. So to your point, the importance was, let's get these containers moving first. That was the priority at that time.”). The cited instructions do not support an implication that SEA was responsible for the trucker's performance.

52. SM LINE RPFF 52: SEA's instructions to the CNT made clear that the CNT had to "Communicate with SAMSUNG for any issues or concerns or any rescheduling with the loads. Exhibit 4 to Fernando Deposition RX_0003622, RX_0003645- RX_0003646, RX_0004125-RX_0004129.

SEA Response to RPFF 52: Denied. The quoted language from the documents referenced is not specifically for CNTs as opposed to house truckers. In addition, while SEA had communications with truckers carrying its cargo, SEA did not undertake SM Line's financial and legal responsibility for trucking cargo to the final, inland destination, which were SM Line's common carrier obligations. CX_003010, Fernando Dep. Tr. 81:9-16. Under store door terms, the responsibility for the inland movement of cargo remained with SM Line until the goods were delivered. CX_000382, K.K. Choi Dep. Tr. 29:10-16 ("Q. Under a combined bill of lading issued by SM Line, does SM Line arrange the inland transportation? . . . A. Yes. When customers make a request for that for those areas where we can provide service for, we do."); CX_000912-13, Lee Dep. Tr. 48:21-49:5; CX_001368, Askins Dep. Tr. 73:11-20.

53. SM LINE RPFF 53: SEA's instructions to the CNT made clear in the "Empty Container" sections that "HOUSE TRUCKERS is SSL responsibility ~ ** CNT Truckers are responsible for the per diem for any mismanage of the empties." Exhibit 5 to Fernando Deposition RX_0004126-4128;. RX_0001188 (SDS explaining to SEA that "Per Diem is not a contract rate. Carrier has their own tariff as per their policy and terminal.")

SEA Response to RPFF 53: Admitted in part and denied in part. Admitted that the quoted language is from RX_0004126-28 but denied that it is "instructions," but rather references responsibilities of types of truckers employed by SM Line. Denied as to RX_0001188, which is an email exchange regarding whether per diem was a contractual rate or changeable subject to

market conditions and has no relation to CNTs, CNTs' responsibility for per diem, or to whom CNTs were accountable. On store door moves, CNTs remained the responsibility and under the control of the party contracting with them, SM Line. *See* SEA Responses to RPF 48, 52.

54. SM LINE RPF 54: SEA or its affiliates frequently communicated with SM Line on which CNT to use to move the containers. RX_0001598 - RX_0001601 (SEA communicates with SM Line on the appointment of the CNT); RX_0001023-26 (Logitech instructing SM Line to substitute Regal to Polly Trans).

SEA Response to RPF 54: Denied. To the contrary, the emails to which SM Line cites reflect that SEA merely nominated CNTs, which SM Line then proceeded to review according to its own process. *See* RX_0001598 (internal SM Line email from Traffic Specialist TJ Li to SM Line management – including K.K. Choi – stating “Samsung wants to nominate Gold Point to be their CNT to locations below . . . *Please advise if ok to continue the CNT process* and ask sales team to request through CNT registration?”) (emphasis added); RX_0001023-24 (SEA’s Maria Kristina Fernando providing SEA’s preference for particular route “TRUCKER PREFERRED, POLLY” and following up several days later with SM Line, inquiring “[p]lease advise *if POLLY is accepted as CNT* for this lanes [*sic*]”) (emphasis added); *see also* CX_002846, Goedinghaus Dep. Tr. 72:13-19 (when asked about whether there were any discussions between SEA and SM Line regarding using additional CNTs to handle SEA routes, SEA’s Phil Goedinghaus testified “No. CNT, one per steamship line It’s SM Line’s policy.”). When asked what SEA would do if “a trucker is so bad that [SEA] decide[d] mid-shipment that [SEA] wanted to change [the trucker],” SEA’s manager of its direct shipment department from 2018 to 2022 (Peter Kim) testified that “we cannot change the [road] carrier since we are not paying the rate to the trucker we cannot try to change or take the carrier out and then put somebody else.” CX_003294-95, P. Kim Dep. Tr.

168:9-169:23. Further denied to the extent that SM Line has proffered no evidence to support its statement that SEA “frequently communicated” with SM Line regarding which CNTs to use to move containers by citing to only two email threads.

55. SM LINE RPFF 55: SEA or SEA’s CNT communicated directly with the terminals for CNT loads. CX_004306, Lee Clair Report ¶62, also RX_0004143; RX_0001458; RX_0001539; RX_0001461.

SEA Response to RPFF 55: Denied. The email exchanges in RX_0001458, RX_0001461, and RX_0004143 all involved [REDACTED], not SEA, and no one from SEA was copied on the emails cited. (RX_0001458 similarly is cited – inaccurately – as support for Paragraph 62, footnote 44, of the Lee Clair Report). Similarly, the two other instances cited by Paragraph 62 of the Lee Clair Report (footnote 43 – citing CX_004306, SM Line_0052804-05 – and footnote 45 – citing CX_004306, SM Line_0051849-58), involve communications with *no SEA employees*. Further, when SEA or truckers communicated with terminals in those situations, SM Line was not fulfilling its responsibility as the common carrier under store door terms. In the email exchange in RX_0001539, cited by SM Line, SEA contacted the terminal directly *because SM Line directed it to*. See RX_0001544 (Andrea Askins writing to SEA “[w]e do not have the authority to clear the storage. *Please contact the terminal and clear direct.*”) (emphasis added).

56. SM LINE RPFF 56: SEA controlled the CNT and directed SM Line which CNT to use or not to use on certain routes depending on the CNT’s performance. In certain situations, SEA sought “loyalty” and “insufficient cooperative attitude.” SEA has also “fired” the CNT. CX_002995. Fernando Tr. 66:10-11, CX_002852, Goedinghaus Tr. 78:3-4. RX_0003712-15 (“Please proceed with Gold Point for SM Line. We need to manage the volume with UNIS for the below reasons. And the reasons are already reported internally.

1. Lack of Loyalty ... 4. *Insufficient cooperative attitude for empty sharing to prevent Bobtail.*”

SEA Response to RPPF 56: Denied. SEA objects to RPPF 56, which contains multiple independent statements and/or propositions. SEA did not control CNTs or have the authority to require or direct SM Line to use certain CNTs. *See, e.g.,* CX_000225, SM Line 143(b)(6)(Session II) Dep. Tr. 176:6-24; CX_004805, Solarez Dep. Ex. 12 at 1 (“Longdo is Samsung’s preferred trucker to Manteca, CA . . . But per SELRKT, it’s our choice to use any trucker to this location.”). It was within SEA’s rights to recommend the nomination of a different CNT if another CNT was not performing adequately; the goal was to use truckers who had a track record of understanding certain end customer needs and timetables. *See* CX_002531, J. Choi Dep. Tr. 31:16-25. Further denied with regard to SM Line’s characterization that SEA ever “fired the CNT.” Testimony of former SEA employee, Ms. Fernando, and current SEA employee, Mr. Goedinghaus, demonstrate that SM Line counsel attempted to use of the term “fired” in an effort to make some generalization about larger conduct. *See* CX_002295, Fernando Dep. Tr. 66:10-11 (“Q. Have you fired some CNT truckers? A. Yes.”); CX_002852, Goedinghaus Dep. Tr. 78:3-4 (“Q. Has Samsung ever fired a CNT trucker? A. Yes, but I don’t recall exactly the details of it.”). Moreover, Mr. Goedinghaus went on to clarify that “fire” was the “wrong term” and that SEA “do[es]n’t have the authority whatsoever to fire or hire anybody.” CX_002852, Goedinghaus Dep. Tr. 78:6-8;); CX_003276, Peter Kim Dep. Tr. 160:22-161:7 (agreeing with question that SEA would “unrecommend” certain truckers for certain areas “[b]ecause we don’t want to delay shipment because the trucker doesn’t know how to handle.”).

SM Line cherry-picks one statement from a several page e-mail string (RX_0003712-3715) as purported support for RPPF 56, which e-mail string contains an internal discussion amongst

SEA and [REDACTED] as to whether SM Line would accept the proposed revised CNT recommendation – a revised recommendation based on the previous CNT’s non-responsiveness to tasking and inability to handle required volumes – if the rates for the new preferred trucker (Gold Point) were greater than the existing CNT (Versa/Unis). *See, e.g.,* RX_0003714 (inquiry from David Choi of SEA to [REDACTED]: “[d]on’t you think that SM needs to ask Gold Point if they can match with the rate Versa has if Gold point’s rate is really higher than Versa’s?”). Clearly, SEA would not be concerned with the proposed new CNT’s rates and whether SM Line would accept the rates of the new proposed CNT *if* SEA could truly “fire” a CNT. SM Line’s citation to the testimony of a former low level SEA employee (Maria Kristina Fernando) to support RPFF 56 is SM Line’s counsel’s question – without amplifying questions – whether she had fired a CNT, to which she replied “yes.” CX_002995, Fernando Tr. 66:10-11. But even SM Line’s evidence does not support this flimsy support. *See, e.g.,* CX_000225, SM Line 143(b)(6)(Session II) Dep. Tr. 176:6-24 (SM Line’s K.K. Choi agreeing that “SM Line can reject the CNT nomination”); CX_004805, Solarez Dep. Ex. 12 at 1 (“Longdo is Samsung’s preferred trucker to Manteca, CA . . . But per SELRKT, it’s our choice to use any trucker to this location.”) (emphasis added).

C. MOST OF THE CHARGES WERE CAUSED BY SEA’S OWN ACTIONS AND INACTIONS.

SEA Response to RPFF Header C: Denied. SM Line’s assertion is not supported by any citations or evidence.

57. SM LINE RPFF 57: SEA’s consistently failed to pick up containers even when ready.

SM Line has sent numerous messages of the last free days and need for SEA to pick up its containers. (“[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED].” RX_0001832-
RX_0001834.

SEA Response to RPFF 57: Denied. SEA objects to RPFF 57 because it contains multiple statements and/or propositions. SM Line only cites to a single, two-page email that does not support the propositions in RPFF 57. First, the single email thread is an internal email exchange between SM Line’s Traffic & Equipment Manager Christopher Solarez and SM Line’s Traffic Specialist Tianjin Li, and not a single SEA employee is copied in the email. The email shows that SM Line, not SEA, was responsible for coordinating the pick-up of containers. There, SM Line states that “[w]e [SM Line] are . . . telling truckers they must pull out [the containers] by that date” and that “[i]f they stay longer then we are telling truckers they need to take of anymore storage.” RX_0001833. Further, in the final (latest) e-mail exchange between Solarez and Li, Li identifies the containers incurring rail storage as “the storages SM Line cleared for the [containers] at UP/G4 *due to chassis issues*.” RX_0001832 (emphasis added). During his deposition, Solarez was questioned about delays related to chassis unavailability and he acknowledged that these charges were resulted in “automatic waiver of charges” against SEA because, in his words, “[y]es, it was [an automatic waiver], for door moves.” CX_001212-14, Solarez Dep. Tr. 143:2-145:22 (testifying about Solarez Deposition Exhibit 14). SM Line’s own evidence shows that it was the party directing and communicating with truckers regarding the pick-up of containers, and for delays that were for SM Line’s account, not for SEA’s account.

58. SM LINE RPFF 58: SEA knew that a CNT could not pick up any more containers from rail terminal even though they were mounted on chassis and available because the CNT did not have enough space at the storage yard and the delivery could not be made because of DOCUMENTATION ISSUES. (When asked why CNT would not pick up the container

for so many days, PBI/CNT responded “PBI answers ” [REDACTED]
[REDACTED]
[REDACTED]
[REDACTED]
[REDACTED]
[REDACTED]
[REDACTED].”

RX_0001759; RX_0001837.

SEA Response to RPFF 58: Denied. SEA objects that while the email cited, RX_0001759, contains the language quoted and states that the trucker informed SM Line that “Samsung is aware of the situation,” RX_0001837, SEA denies SM Line’s characterization of same being due to “DOCUMENTATION ISSUES” for which SEA was purportedly responsible. The mere fact that SM Line repeatedly states throughout the email thread that it “will not be responsible for the storages” does not transfer the responsibility for demurrage to SEA or represent an admission by SEA that it is responsible for said demurrage. SM Line provides no other support for RPFF 58.

59. SM LINE RPFF 59: SEA’s long staying days are more than three (3) times when compared to other customers of SM Line during the reparation time period. RX.

SEA Response to RPFF 59: Denied. SM Line provides no citation to evidence for the proposition, and no such evidence exists in the record. The RPFF should have been withdrawn when submitted by the amended, extension deadline. RPFF 59 contravenes the Chief Judge Wirth’s April 21, 2023 Scheduling Order which expressly requires that: “[e]ach proposed finding of fact that the

responding party denies must be followed by an exact citation to evidence that the responding party contends will rebut the evidence the proposing party claims supports the fact.”³

60. SM LINE RPFF 60: Facilities were often unavailable to receive cargo which resulted in demurrage and detention charges. RX_0002894-2895 (SM email to [REDACTED] “Today, we received a list of long-term cargo in Dallas CY (Rail Ramp) from our U.S. branch. Together with the rail transport company’s request for removal (shortage of CY field), chassis occupancy (on-chassis) is also becoming a problem. Accordingly, please refer to the list below, check the removal (pick-up) schedule and reply to us.”)

SEA Response to RPFF 60: Denied. The cited email concerns communication between [REDACTED] and [REDACTED], not SEA, and, although it references “long-term cargo in Dallas CY (Rail Ramp)” and a “shortage of CY field,” nowhere does it state that “facilities were [] unavailable to receive cargo.” Denied to the extent that SM Line attempts to shift responsibility for an unspecified amount of demurrage and detention by attributing them to the inability of SEA facilities to receive cargo. To the extent that there were instances when SEA warehouses did not have the capacity to accept shipments, SEA took action to mitigate this by setting up overflow locations and arranging for other container yards to be able to accept cargo. *See* CX_002672-73, Rapske Dep. Tr. 60:24-61:8 (“[W]e set up container yards. We set up overflow locations. When [lack of room to accept new loads] did happen at one of our locations, we’re very quick to react and set up other locations.”); *see also* CX_002635-36, Rapske Dep. Tr. 23:23-24:4 (“Q. Was Samsung also experiencing delays with its own truckers and warehouses during the COVID period? . . . [Mr. Rapske]: We did experience some labor issues, but outbound domestic transportation, we did not have any issues with that.”).

³ Dkt. No. 10., ¶ 17.

SEA witness Michael Rapske – who served as SEA’s “manager of logistics on the warehousing side” as well as “senior manager of warehousing logistics” prior to currently serving as SEA’s Vice President of Logistics, CX_002622, Rapske Dep. Tr. 10:8-22 – testified and rejected the suggestion that warehouse congestion caused any significant delays without any challenge from SM Line’s attorneys. CX_002672, Rapske Dep. Tr. 60:24-62:11 (explaining how SEA stood up additional facilities for receiving containers to avoid congestion delays from increased inbound container volume); *see also* CX_002279, SEA 143(b)(6) Dep. Tr. 32:8-14 (SEA’s corporate representative Jeung Choi testifying that SEA’s “policy was trying to get the containers out [of the terminals] and moving.”).

61. SM LINE RPFF 61: Many SEA warehouses and facilities required appointments for delivery that were not within the control of SM LINE. RX_0003645 (SEA’s instruction to CNT, “Vendor Compliance: the loads must be delivered before the RDD [“Required Delivery Date”] or within the RDD to avoid the penalty for being late”), RX_0003622. (SEA’s instruction to CNT says, “Please note the RDD window: +/-1 day from RDD date. If the trucker has so many appt in 1 day, trucker/s can send an email to scheduling@bestbuy.com to ask to adjust the appt, within the RDD WINDOW (+/-1 from RDD date).”

SEA Response to RPFF 61: Denied. SM Line uses the qualifier of “many,” but points to only two examples, which do not support its contention. The email thread in RX_0003645 reflects that only four Lowe’s locations required delivery within a specific window but that other locations accepted early drops or deliveries. The email thread in RX_0003622 reflects that the CNT had the ability to schedule appointments to deliver loads to Best Buy, including earlier appointments for available loads. Further, both email threads cited reference cargo deliveries that took place a year

(or nearly a year) before the Relevant Time Period for SEA's claims (August 2019 and April 2019, respectively), hence the referenced email strings are irrelevant to SEA's claims.

62. SM LINE RPFF 62: SEA would pay a penalty if a shipment was not delivered within the Required Delivery Date. RX_0003645.

SEA Response to RPFF 62: Admitted in part and denied in part. Admitted that the example cited contains a statement that "the load must be delivered before the RDD [Required Delivery Date] or within the RDD to avoid the penalty." RX_0003645. Denied to the extent that the reference to a penalty is proffered by SM Line as evidence that SEA was the party responsible for managing the cargo shipments to its customers or ensuring that its cargo was delivered by the RDD. Further, the email thread references a cargo delivery that took place a year before the Relevant Time Period for SEA's claims (April 2019), hence the referenced email string is irrelevant to SEA's claims.

63. SM LINE RPFF 63: When SEA's customers could not accept cargo within the free time on a port, SEA more often than not instructed the CNT to prepull and store the cargo to avoid higher on-port demurrage charges. Once prepulled, the container sat or was stored at the CNT's storage yard until the delivery was made to the customer's yard or SEA's hub. CX_002670-71, Rapske Dep. Tr. 58:16-59:24., RX_0003708-11, RX_0003645-46.

SEA Response to RPFF 63: Denied. Admitted only that SEA cargo would at times be prepulled and stored in off-dock container sites to avoid higher on-port demurrage charges. CX_002670, Rapske Dep. Tr. 58:16-23 ("A lot of this had to do with chassis availability where we would prepull the containers and stock them outside *just so we could stop the demurrage.*") (emphasis added). This was a judicious business decision by SEA to mitigate the accrual of demurrage due to the performance failures of steamship lines such as SM Line. CX_004232, Smith Dep. Tr. 110:7-12 (SEA's damages expert Greg Smith testifying that "SM Line had the responsibility to deliver it

[SEA's cargo] to the customers, and *the establishment of these [off-dock container yard] facilities was essentially an effort to mitigate its damages when a chassis shortage was causing there to be significant demurrage charges.*") (emphasis added); see also CX_002329, SEA 143(b)(6) Dep. Tr. 132:15-18 (SEA's corporate representative Jeung Choi explaining that "where [a prepulled container] was held up at a port or rail ramp and nobody was doing anything, yes, we would have to make a decision to pay to move our cargo and pre-pull these *to prevent the damage from further occurring.*") (emphasis added). SM Line's liability expert, Lee Clair, implicitly acknowledged the soundness of such a decision, noting that the owner of the yard at which the container is repositioned "will charge for this service, but *it is typically less than the daily charge for port terminal demurrage.*" CX_004309, Lee Clair Report ¶ 76 (emphasis added).

In fact, in the very portion of Rapske's testimony that SM Line cites, Rapske explicitly testifies: "[U]sually when we did the prepull, it was due to lack of chassis. *Samsung did not control chassis. We don't manage chassis.* There were times when we set up weekend shifts, we'd pay the fees, we would use the same chassis to get the product out of the property to these off-dock container yards where we would stack them in there. We were only doing that because the steamship lines were not." CX_002671, Rapske Dep Tr. 59:9-16 (emphasis added). Further denies that SEA "instructed" CNTs to take such action or that any action by SEA with respect to CNTs in this situation shifted responsibility for the inland transportation of cargo from SM Line to SEA. Any such actions that SEA took were because SEA was forced to step in to facilitate the movement of its cargo due to SM Line's failures to perform its store door carrier responsibilities.

64. SM LINE RPFF 64: SEA was at all times responsible for its cargo clearing customs, including any demurrage that resulted from delayed customs clearance. RX_0000898, Huynh Tr. 49:15-21; CX_003174, Peter Kim Tr. 48:3-10.

SEA Response to RPFF 64: Denied. If SEA caused customs clearing delays, it was responsible for the demurrage charges (CX_002382, SEA 143(b)(6) Dep. Tr. 135:8-10), but the deposition testimony cited by SM Line does not support RPFF 64. Further denied that any demurrage for which SEA seeks reparations in this proceeding relates to time involved with customs clearance delays. The cited testimony by Ngan Kim Huynh only identifies UPS as the entity that did customs clearance of SEA cargo (*see* RX_0000898, Huynh Dep. Tr. 49:18-21). The cited testimony by Peter Kim merely describes the general procedures that cargo undergoes when it arrives at the port but makes no reference to SEA. CX_003174, P. Kim Dep. Tr. 48:3-10.

65. SM LINE RPFF 65: SEA accrued demurrage on many occasions when its cargo did not clear Customs within free time. RX_0004265

SEA Response to RPFF 65: Denied. SM Line uses the qualifier “many occasions” yet cites to a single email to support that assertion. Moreover, the email cited by SM Line, RX_004265, does not even reflect that demurrage accrued on the two containers referenced; the customs hold on the first container was removed two days before its LFD and there is no reference to demurrage accruing or being at risk of accruing on the second container. With respect to SEA’s customs activities, SEA did not have issues with its cargo clearing customs, much less that demurrage accrued because of failures to clear customs. *See* CX_002746, Rapske Dep. Tr. 134:3-15 (“Q: The customs clearance, do you use UPS to assist you with that? A. Yes, that is our customs broker. Q. And did you have any problems with them? A. You know, I’m not going to say that there’s probably not an email out there calling something out, but categorically, we have not had any issues . . . I’m not aware of any major issues that we’ve had that have led to anything . . .”).

66. SM LINE RPFF 66: SEA consistently failed to provide delivery instructions or documents for specific shipments resulting in demurrage. RX_0001759 – RX_0001831; RX_0003638.

SEA Response to RPFF 66: Denied. SM Line uses the qualifier “consistently,” but cites to only two examples to support its claim. And the examples cited by SM Line do not support this RPFF 66. While the first email cited, RX_0001759-31, mentions that certain containers were not able to be delivered “because of missing documentation needed for Direct deliveries,” it does not specify which party was responsible for providing (or failing to provide) the missing documents. *See* RX_0001759. The email cited in RX_0003638 involves SEA requesting that a CNT advise “if you have a missing [work order],” a document issued by SM Line. *See* PFF 63.

67. SM LINE RPFF 67: SEA’s CNTs were unable or unwilling to perform cargo movement for SEA and that resulted in demurrage charges even when the container were available. RX_0003703. RX_0001759 – RX_0001831.

SEA Response to RPFF 67: Denied. While the emails that SM Line cites reflect instances where CNTs experienced performance issues out of a total of 7,000+ containers at issue in this dispute, a CNT experiencing performance issues does not change that it is SM Line’s responsibility to manage the trucker and their performance under store door moves. PFF 75-76. In fact, in RX_0003703, SEA requested that SM Line assign a house trucker to handle loads rejected by a CNT, which was SM Line’s obligation as the common carrier on a store door move. *See* PFF 74.

68. SM LINE RPFF 68: Prepull charges are within SEA’s responsibility since they are caused by SEA’s customers. SEA regularly instructed the CNT to prepull since 2019 when there was no real concerns for the demurrage charges. Clair report ¶¶76-79. RX_0003636,

RX_0003624 (CNT instruction sent on February, 2019 and May, 2019 respectively, all including prepull instructions).

SEA Response to RPFF 68: Denied. In his expert damages report, Clair speculates that “[i]t was SEA’s decision to pre-pull a container on a chassis rather than delivering it to the customer, likely because the customer was not able to receive the shipment.” CX_004309, Clair Report ¶ 78. Clair offers no evidentiary support for his conjecture that decisions to prepull containers were “likely because” SEA customers could not accept them, although Clair cites – incorrectly – to Maria Kristina Fernando’s testimony to support his speculation. *See* CX_004309, Clair Report, ¶ 78 (incorrectly citing CX_004281, Fernando Dep. Tr. 91:7-12 – proper citation is CX_004287-88, Fernando Dep. Tr., 97:24-98:5). Furthermore, Clair omits mentioning the context in which Ms. Fernando provided the quoted answer. Fernando explained that because of the congestion caused during COVID, “a lot of loads were delayed. For example, Tuesday we should have ten, and then Wednesday we should have 30 loads coming in. *And then because of the congestion, because of the issue, because of the delay, there are sometimes on Friday, we need to pick up 100 loads.*” CX_004287, Fernando Dep. Tr., 97:11-18 (emphasis added); *see also* CX_002365-67, SEA 143(b)(6) Dep. Tr. 118:9-120:12 (SEA’s corporate representative witness Jeung Choi explaining how SM Line’s inability to clear containers effectively led to congestion bottlenecks that SEA was forced to mitigate at its own cost, for which costs SEA is now seeking reimbursement as reparations). To the contrary, the record evidence shows that SEA made the decision to prepull containers to avoid higher on-port demurrage charges, which Clair acknowledges in his report. *See* CX_003048, Fernando Dep. Tr. 119:8-11; CX_002670, Rapske Dep. Tr. 58:16-23; CX_004309, Clair Report ¶ 76 (citing Ms. Fernando’s testimony but at wrong pages of the transcript, the correct

page citation to Ms. Fernando's quoted testimony is CX_003049, Fernando Dep. Tr. 120:9-11). SEA incorporates its response to RPFF 63.

Further denied as to the characterization that SEA "regularly instructed the CNT to prepull since 2019 when there was no real concerns for the demurrage charges." While the two emails SM Line cites, RX_0003636 and RX_0003624, do reflect communications with CNTs that contain boilerplate language to prepull loads before the LFD, neither reflects that the actual containers were in fact pre-pulled and stored at a yard off-terminal, nor that any decisions related to handling the containers to prepull containers was due to SEA's customers being unable to accept deliveries. Further denied that there was "no real concerns" for demurrage charges in 2019 or before the Relevant Time Period covered by this dispute.

69. SM LINE RPFF 69: Diversion charges are SEA's responsibility. CX004309 Lee Clair report; CX_003089, CX_003091, Fernando Tr. 160:18-24, Tr. 162:11-24, RX_0004214
SEA Response to RPFF 69: Denied. Ms. Fernando testified that there are certain situations in which "Samsung" will cover the cost of a diversion, *e.g.* when a diversion is requested by a distribution center such as Best Buy or Lowe's after cargo is picked up by a trucker or when cargo is awaiting pick-up at a rail terminal. *See* CX_003088-90, Fernando Dep. Tr. 159:15-161:19. However, in that same line of questioning, Fernando also testified that if a diversion had to be done due to an act or omission by SM Line – for example, if SM Line forgot to process an earlier diversion request and demurrage accrued as a result – it is SM Line who should bear the cost of such a diversion. *See* CX_003091, Fernando Dep. Tr. 162:20-24 ("But, for example, if SM Line forgot to process a diversion and we informed them ahead of time and accrued demurrages, then SM Line needs to take the check.").

Significantly, in his expert damages report, Mr. Clair did not deny or raise any objection to Ms. Fernando's testimony regarding SM Line's responsibility for diversion costs where its own acts or omissions are to blame. *See* CX_004309-10, Clair Report ¶ 80. Clair merely raised an evidentiary support argument in relation to Ms. Fernando's testimony, but did not object to the premise itself. *Id.* Denied to the extent it purports to claim that diversion charges are SEA's responsibility, regardless of the circumstances surrounding those charges or whether SEA or SM Line were at fault.

70. SM LINE RPFF 70: Detention charges are incurred because of SEA's failure to redeliver the container from its customers or its own facility and therefore are SEA's responsibility. CX_0043310, Lee Clair report; CX_003038, Fernando Tr. 109:7-13, 109:22-110:6; RX_0000958, Huynh 109:21:22.

SEA Response to RPFF 70: Denied. Once again, SM Line offers a sweeping statement regarding responsibility for charges that, if accepted, represents an unreasonable position that is not supported by the evidence. Notably, Mr. Clair's own expert report states that "[d]elays resulting in detention charges occurred once the container departed from the port or rail intermodal terminal, and are *most likely* the cause of the receiver – either SEA's retailer customer, or SEA itself, if at a SEA distribution center." CX_004310, Lee Report ¶ 82 (emphasis added). Mr. Clair offered no evidentiary support for his qualified statement that delays resulting in detention charges are "most likely" caused by SEA or its customers and his use of the phrase "most likely" itself reflects that this is conjecture by Mr. Clair, not a fact that is supported by the record. Indeed, review of Paragraph 82 of the Lee Clair Report reveals that Mr. Clair has cited nothing whatsoever in the record for anything that he states in that paragraph.

SM Line's citations to Ms. Fernando's and Ms. Huynh's testimony are likewise out of context. The citations to both of their testimony relates to their answering questions about boilerplate language on e-mails that they would send (Fernando) or on which they were copied (Huynh) to SM Line and assigned truckers to alert them of the various specifics of direct shipment *deliveries to SEA customers, not to any actual events that took place between SEA and SM Line*. See CX_003038, Fernando Dep. Tr. 109:7-12 (SM Line's attorney's inquiry to Ms. Fernando regarding language "on page 4 of Exhibit 5"); RX_0000954-0959, Huynh Dep. Tr. 105:4-110:4 (Exhibit 6 to Huynh deposition introduced and questions posed to Ms. Huynh about language in e-mail on which Ms. Huynh was copied). Indeed, Ms. Huynh testified that she did not have personal knowledge as to whether the boilerplate language was the policy of SEA while she was at SEA. RX_0000958-0959, Huynh Dep. Tr. 109:25-110:4 ("Q: So having read that ["CNT truckers are responsible for the per diem for any mismanage of the empties"], do you agree that that was the policy at SEA while you were there? [objection] THE WITNESS. I personally do not know to answer it."). SM Line remained at all times responsible for the activities of CNTs under store door moves, including the return of empty equipment, and therefore any failure of a CNT to return empty equipment within the allotted free time is attributable to SM Line, not SEA. See CX_002382-83, SEA 143(b)(6) Dep. Tr. 135:23-136:3 ("[I]f [a charge] is somewhat related to detention, demurrage, and rail storage, meaning gating out on the LFD **and returning**, then, yes. This would be a responsibility for the shipping liner.") (emphasis added); CX_002666, Rapske Dep. Tr. 54:14-21 ("Q. And why do you believe that the equipment detention charges are the responsibility of SM Lines? A. . . . [T]he clock began when either we couldn't get containers moved out or we don't get product returned, if there were empty restrictions. So there's a lot of reasons outside of Samsung's control on why these accessorial were needed to be paid.").

SM Line was responsible for designating return locations for empty containers and often those return locations would not be accepting empty equipment. PFF 118-119, 121-122. If detention accrued while the terminal was struggling with yard space, SM Line would still issue a detention invoice to SEA. *See* PFF 122.

71. SM LINE RPFF 71: Port Demurrage charges are within SEA's responsibility.

RX_0001199; CX_004311-317 Lee Clair Report ¶¶99 to 117, CX_002304-05; SEA 143(b)(6) Tr. 57:25-58:19, CX_003238-39, Peter Kim Tr. 112:13-113:5.

SEA Response to RPFF 71: Denied. RPFF 71 calls for a conclusion of law and is not a proposed finding of fact. Further denied as SM Line makes a sweeping statement that responsibility for port demurrage lies solely with SEA, without acknowledging that under store door moves SM Line was responsible for coordinating the pick-up and movement of cargo from the port. *See* PFF 106. On its face, this RPFF 71 directly contravenes the incentive principle and would be an unreasonable practice. Further, to the extent it implies SEA is responsible for port demurrage even in situations where SEA is not at fault or where SM Line is at fault, that position is contradicted by SM Line's own testimony. PFF 109-11, 132.

None of the documents cited by SM Line support RPFF 71. RX_0001199 is the slide from the document entitled "Introduction to LPS Direct Ship Operation" (what SM Line refers to as the "SEA CNT Manual") that provides information on CNT truckers and house truckers. The only reference to demurrage on that entire slide is in a bullet point stating "[CNT] Can pre-pull and store loads to yard to avoid the port / rail demurrage charges."

SM Line cites 18 paragraphs of the Lee Clair Report (Paragraphs 99-117) as purported support for RPFF 71. Of these eighteen paragraphs, Mr. Clair cites one sentence of testimony from SM Line's K.K. Choi as record support for his conclusions. That's it. The remainder of this entire

section of Mr. Clair's report is essentially his legal conclusion that the actions of CNTs should be attributable to SEA and speculation as to why SEA's containers should have been removed from terminals more promptly. Finally, the deposition testimony cited by SM Line also does not support RPFF 71. Peter Kim's cited testimony concerns inquiries that SEA made to truckers as to why containers were not being picked up and does not discuss demurrage at all.

With respect to the SEA corporate representative testimony cited, Mr. Jeung Choi testified that SEA paid demurrage only because SM Line failed to accept responsibility and would not allow SEA to move its containers until SM Line was paid. *See* CX_002304-2305, SEA 143(b)(6) Dep. Tr. 57:17-24 ("A: So from my understanding, the shipping line wasn't paying. The CNT was not paying . . . Somebody has to pay. They are not going to let the containers move unless they get paid."). The fact that SEA was forced to pay demurrage to release its containers from ports is not an admission that SEA was responsible for the port demurrage.

72. SM LINE RPFF 72: SEA consistently failed to timely provide the required information and documentation to SM LINE leading to increased demurrage and detention. RX_0003601- RX_0003602 (SEA refuses to provide shipping manifest because the trucker is House Trucker).

SEA Response to RPFF 72: Denied. SM Line uses the qualifier "consistently" yet cites to only a single email. Moreover, the email that SM Line cites does not support its position, as the email SEA clearly states that the responsibility for providing documents to house truckers belonged to SM Line, not SEA. *See* RX_0003601 ("SAMSUNG is not liable to provide the documents to the house trucker[.] This is SM Line responsibility because you have control and knowledge about the carrier."). SM Line's position in this e-mail exchange is not credible as the documentation required by the customer (Best Buy) was *the bill of lading for the cargo*, which document the ocean carrier

obviously would possess rather than the consignee SEA, and which document *SEA's initial instructions advised would have to be presented to the customer at delivery*. See RX_0003599 (SEA's Maria Kristina Fernando to SM Line's Andrea Askins: "As you can see below *it was indicated on the instructions, [t]he manifest that BBY needed is the printed BOL [bill of lading]* because they need to stamp the document") (emphasis added). Despite Ms. Fernando's email being part of the same email string cited by SM Line, SM Line did not cite to the entire email string, doubtless because Ms. Fernando's explanation for why the delivery delay occurred makes clear that the delivery delay was caused by SM Line's lack of attention to detail.

SEA's position is hardly controversial. It is consistent with testimony provided by SM Line witnesses with respect to SM Line's management of house truckers. See CX_001136, Solarez Dep. Tr. 67:15-24 (with respect to house truckers: "We choose the trucker. We send them a work order, and then we follow up, monitor the shipment and make sure the trucker received the work order and also that the cargo starts moving . . . If they need anything from the customer, then we'd communicate with the consignee and gather that info for the trucker. We handle all those steps from beginning to end and make sure that the deliveries happen.").

73. SM LINE RPF 73: SEA consistently failed to timely provide the required information and documentation to CNT leading to increased demurrage and detention. RX_0004205, RX_0004479, and RX_0004469, RX_0001759 – RX_0001831 (PBI, SEA's CNT, responding to SEA regarding its inability to pick up tens of containers on chassis from a rail terminal for almost a month because "[a]ny loads delayed in being outgated from the rails are due to the loads that were previously prepulled and storage for several weeks were not able to get scheduled and delivered because of missing documentation needed for Direct deliveries.")

SEA Response to RPFF 73: Denied. SM Line uses the qualifier “consistently,” but provides only a handful of examples to support its claim. Furthermore, the evidence cited by SM Line does not support RPFF 73. While documents RX_0004479 and RX_0004469 – cited by SM Line – each reflect a request from SM Line to SEA that SEA submit delivery orders for four containers and one container, respectively, there is no indication that SEA failed to provide this information or that D&D charges accrued on either container (due to a lack of documentation or otherwise). Additionally, while RX_0001759-831 mentions that certain containers were not able to be delivered “because of missing documentation needed for Direct deliveries,” it does not specify that SEA was responsible for providing (or failing to provide) the missing documents. *See* RX_0001759. For example, review of the entire email string cited by SM Line reveals that the first several emails from SM Line merely are titled “DALLAS RAIL LFD REMINDER” without any correspondence included from SM Line or, at best, “All cntrs [containers] still in the rail accruing storages,” giving no attribution for the failure of the containers to move. *See* RX_0001829 (initial May 18, 2021 email from SM Line to SEA); RX_0001827 (May 19, 2021 email from SM Line to SEA); RX_0001825 (May 20, 2021 email from SM Line to SEA); RX_0001822 (May 24, 2021 email from SM Line to SEA); RX_0001819-20 (May 25, 2021 email from SM Line to SEA); RX_0001818 (May 26, 2021 email from SM Line to SEA).

74. SM LINE RPFF 74: SEA was delinquent in its payments to the CNT. The CNT in turn would no longer accept to deliver SEA’s containers unless the overdue amounts were satisfied. RX_0003703; RX_0002902-03 (SM notifying [REDACTED] that due to CNT related issues, SM Line would like to participate only with the CY/CY transportation service).

SEA Response to RPFF 74: Denied. The email cited in RX_0003703 reflects a single situation in October 2021 in which a CNT expressed that it would not accept SEA containers due to

outstanding payments based on an assumption SEA was responsible for payment. This one email does not negate SM Line's responsibility under store door terms to manage the CNTs and, if necessary, appoint another trucker to handle SEA's shipments if one trucker could not, or would not, perform. *See* PFF 75, 76; *see also* SEA Response to RPFF 67; CX_002026, Li Dep. Tr. 60:6-9. Further denied that the second email to which SM Line cites, RX_0002902-03, is relevant or supportive of RPFF 74. While the email does note that SM Line was experiencing challenges "including trucker arrangements," the email exchange is with [REDACTED] and does not refer to SEA *or* CNTs used specifically for SEA shipments.

75. SM LINE RPFF 75: SEA caused demurrage by scheduling appointments and deliveries after the last free day for a container. RX_0002917, RX_0002048-2101; RX_0002894-95.

SEA Response to RPFF 75: Denied. *See* SEA's Response to RPFF 57. While the email exchange cited in RX_0002917 references a backlog of shipments in a Chicago container yard, the email does not make any reference to appointments being scheduled after the LFD; to the contrary, [REDACTED] attributes the difficulty in moving the shipments to the fact that "the volume is far too high in Chicago, so that it is physically difficult for CNT to withdraw the entire volume." *See* RX_0002917. RX_0002894-95 likewise does not mention anything about scheduling of appointments after the LFD, nor does the email include any SEA addresses (the email is between SM Line and [REDACTED] and [REDACTED]). Finally, RX_0002048-101 is an email exchange between SM Line and P.B. Industries regarding the pick-up of containers; SEA is not mentioned with respect to arranging the pick-up of the containers and no SEA employees are copied on the email. This email further supports that the trucker and SM Line were the parties responsible for coordinating the scheduling and pick-up of containers. Mr. Solarez was questioned about these delays related to chassis unavailability and he acknowledged that these charges were

an “automatic waiver of charges” against SEA because, in his words, “[y]es, it was [an automatic waiver], for door moves.” CX_001212-14, Solarez Dep. Tr. 143:2-145:22 (testifying about Solarez Deposition Exhibit 14).

76. SM LINE RPFF 76: SEA admits that it is responsible for demurrage if its customers or warehouses could not receive cargo. RX_0001759 – 1831.

SEA Response to RPFF 76: Denied. The email SM Line cites does not support RPFF 76. While P.B. Industries stated in an email to SEA that it was planning deliveries “based on warehouse availability,” there is no discussion about demurrage in relation to warehouse availability, much less discussion about SEA’s purported responsibility for demurrage. *See* RX_0001759; *see also* SEA’s Response to RPFF 60 (referencing SEA’s Michael Rapske’s testimony as to SEA’s warehouse activities during the Relevant Time Period). The mere fact that SM Line repeatedly states throughout the email thread that it “will not be responsible for the storages” does not allow it to unilaterally transfer the responsibility for demurrage to SEA, abrogate SM Line’s obligations to timely move cargo, or represent an admission by SEA that it is responsible for said demurrage. SM Line provides no other support for RPFF 76. To the contrary, the reason that customers would not accept shipments is because of the failure of SM Line to coordinate the movement of the shipments. CX_002642, Rapske Dep. Tr. 30:1-9.

D. SM LINE WAS PROACTIVE IN MINIMIZING THE CHARGES AND OFTEN WAIVED THEM AND CLEARED THEM ON SEA’S BEHALF.

SEA Response to SM Line Header D: Denied. With over \$14.5 million in D&D charges paid by SEA, it cannot be said that SM Line was effective in minimizing charges or that its waivers were sufficient to offset the millions in charges issued and demanded for payment. *See* CX_004448, Smith Report, ¶ 8 (opining that SEA’s direct damages caused by SM Line’s inability to deliver SEA’s cargo as promised under governing contracts of carriage as “at least \$14.5 million”); *see*

also CX_004985, *id.* at Ex. 1 (setting forth 424 pages of over 18,000 charges incurred by SEA that properly were SM Line’s obligation).

77. SM LINE RPFF 77: SM Line often extended or caused the terminals to extend the Last Free Day in order to minimize the charges. RX_0001440 - RX_0001442; RX_0001458 - RX_0001460; RX_0001461 - RX_0001469, (Examples of terminals extending LFD); RX_0001086- RX_0001093 (SM Line clearing LFD on SEA’s request).

SEA Response to RPFF 77: Denied. SM Line seems to insinuate that the charges that SEA incurred were reasonable because SM Line diligently sought to minimize these fees, but under its “super all in” store door rate, SM Line always had the contractual responsibility to cover all costs incurred to the consignee’s warehouse or the customer’s door. CX_001199-01, Solarez Dep. Tr. 130:10-132:22 (SM Line’s former overseer of all operations and current equipment control manager explaining how SM Line’s “super all-in” rate “is inclusive of *every possible charge* that the trucker could charge us or the customer it would be *anything and everything* includ[ing] *any unexpected or expected demurrage fees or detention.*”) (emphasis added). The mere fact that SM Line has provided a handful of examples where SM Line actually performed as it was contractually committed to perform is not sufficient evidence that SM Line “often” extended or caused the terminals to extend the LFD in this case, where the Presiding Officer is considering over 18,000 separate charges spread across the transportation of over 7,000 containers. Moreover, the record reflects that SM Line only sent requests to the terminal to extend the LFD because SEA requested it to do so and, in some cases, instructed SEA to submit a request to the terminal, claiming that it lacked the authority to make the request to the terminal itself. *See* RX_0001086-93 (SM Line requesting extension of LFD at SEA’s request); RX_0001544 (Andrea Askins writing

to SEA “*We do not have authority to clear the storage. Please contact the terminal and clear direct.*”) (emphasis added).

78. SM LINE RPFF 78: SM Line’s cleared charges caused by the CNT’s delays on SEA’s behalf. RX_0002248-RX_0002253; RX_0004463; RX_0001834; RX_000498. K.K. Choi Tr. 145:11-23, CX_001447-48, Askins Tr. 152:18-153:16.

SEA Response to RPFF 78: Denied. While the emails cited by SM Line reflect instances of SM Line clearing charges, they do not show that charges accrued due to “CNT’s delays.” *See, e.g.*, RX_0001834 (charges arising out of “chassis issue); *see also* SEA’s Responses to RPFFs 57 & 75. In other cited cases, the CNT was prevented from picking up containers because SM Line itself was delayed in clearing the charges on the containers, which prevented them from being released. *See* RX_0003571 (SEA requesting SM Line to “[p]lease guarantee the charges with the terminal so that our drivers can start to pull these containers. We need to get these cleared ASAP so demurrage does not continue to grow.”).

Moreover, neither K.K. Choi’s nor Andrea Askins’ testimony supports RPFF 78, as the topics “cleared charges” and “CNT delays” are addressed in the cited portions of their testimony. In fact, K.K. Choi explicitly stated that SM Line’s policy on paying storage charges “var[ied] depending on the container” and went on to state “I cannot say that we guaranteed storage in all situations.” CX_000498, K.K. Choi Dep. Tr. 145:16-23. Ms. Askins’ testimony addresses charges incurred in railyards arising from the lack of chassis. CX_001447-48, Askins Dep. Tr. 152:18-153:16. Ultimately, regardless of the duration of a containers time sitting at port, customers would be charged until the container was mounted. Further, anything thereafter would be the responsibility of the trucker, not SEA.

79. SM LINE RPFF 79: SM Line was proactive in his efforts to limit the effects of the congestion. RX_0002908-2909 (SM Line making sure that containers are mounted on chassis in Chicago so that they can be picked up swiftly); (SM Line pushing SEA's affiliate [REDACTED] to pick up containers to avoid congestion); RX_0002911-2915, (SM Line closing booking on certain routs to ease congestion); RX_0001656- RX_0001666 (SM Line facilitating CNT pick up at the terminal when no appointment were available).

SEA Response to RPFF 79: Denied. SM Line is attempting to paint itself as “proactive” by performing actions that it was already contractually obligated to perform as the carrier on “super all-in” store door moves. *See, e.g.,* SEA's Response to RPFF 77. The example cited in RX_0002908-09 does not mention what SM Line claims it does and does not support RPPF 79. The email thread cited involves communications with [REDACTED], not SEA, and in an email sent on July 16, 2021, SM Line stated that there was “increased cargo backlog” due to the fact that cargo “ha[d] not been picked up properly.” RX_0002908. RX_0002911-15 likewise does not support SM Line's position; the email thread involves communications with [REDACTED], not SEA. Moreover, SM Line's decision to cease bookings on certain routes was made because dozens of containers were in container-yard equipment and were “not taken out,” showing failures by SM Line to properly coordinate the movement of containers. Moreover, the example cited in RX_0001656-66 does not support RPFF 79 as it concerns a non-SEA container and shows that it was [REDACTED] not SM Line, which requested and ultimately secured an exemption to the appointment requirement to allow the container to be picked up. *See* RX_0001657-60 ([REDACTED] requesting that TTI exempt appointment for container).

E. SEA EFFECTIVELY SEEKS A WINDFALL BY ALLEGING THAT ALL OF THE CHARGES IMPOSED BY SM LINE SHOULD BE RETURNED WITHOUT CLEARLY DEFINING EACH CHARGE ON A CONTAINER BY CONTAINER

BASIS AND WITHOUT PROVIDING ANY SUPPORT ON HOW CERTAIN CHARGES ACCRUED DUE TO SM LINE'S FAULT.

SEA Response to SM Line Header E: Denied. SM Line mischaracterizes SEA's theory of the case which is premised on reparations for D&D charges, which should have never been issued to SEA or should have been paid by SM Line to third parties because the SEA shipments were on store door terms. SM Line's container-by-container theory calls for a legal conclusion and SEA addresses this in the Reply Brief Section V(B).

80. SM LINE RPFF 80: Demurrage charges accrues if cargo arrives at a port or terminal facility and remains beyond the agreed upon free time.

SEA Response to RPFF 80: Denied. SM Line's RPFF 80 calls for a legal conclusion. SM Line provides no citation to evidence for RPFF 80, and RPFF 80 should have been withdrawn when submitted by the amended, extension deadline. RPFF 80 contravenes Chief Judge Wirth's April 21, 2023 Scheduling Order which expressly requires that: "[e]ach proposed finding of fact that the responding party denies must be followed by an exact citation to evidence that the responding party contends will rebut the evidence the proposing party claims supports the fact."⁴

81. SM LINE RPFF 81: Detention accrues when equipment, used to move cargo, is not returned within the agreed upon free days period after the cargo has been delivered.

SEA Response to RPFF 81: Denied. SM Line provides no citation to evidence for the proposition and RPFF 81 should have been withdrawn when submitted by the amended, extension deadline. This RPFF contravenes Chief Judge Wirth's April 21, 2023 Scheduling Order which expressly requires that: "[e]ach proposed finding of fact that the responding party denies must be followed by an exact citation to evidence that the responding party contends will rebut the evidence the proposing party claims supports the fact."

⁴ Dkt. No. 10., ¶ 17.

82. SM LINE RPFF 82: SEA failed to particularize why each of the charges it claim should be refunded. CX_003615, CX_003632, SM Line Expert Clair Tr. 243:8-24, 260:7:17 (We have to look at each container, container by container, to understand the demurrage and detention charges and their respective reasons.) CX_004385-88, SM Line Expert Gauthier Report (referencing Exhibit IV) (SEA paid about \$7.2 million dollars to third party service providers of SEA and SEA's expert did not take important factors to consideration, including the actions/inactions of SEA and/or CNTs). CX_004481-83; SM Line Expert Clair Rebuttal Report (SEA's expert failed to consider certain key factors such as CNT relationship between SEA and CNT and as well as the applicable contract/tariff terms).

SEA Response to RPFF 82: Denied. SM Line offers an incorrect legal standard and then supports it with its own expert's faulty legal analyses. SEA addresses the incorrect legal foundation to SM Line's argument in Reply Brief Section V(B).

83. SM LINE RPFF 83: The "stress test" Excel file on which SEA's heavily relies as proof of SM Line's liability, was based on incomplete documentation created shortly after SEA's complaint was filed.

SEA Response to RPFF 83: Denied. SM Line provides no citation to evidence for RPFF 83, and RPFF 83 should have been withdrawn when submitted by the amended, extension deadline. This RPFF contravenes the Chief Judge Wirth's April 21, 2023 Scheduling Order which expressly requires that: "[e]ach proposed finding of fact that the responding party denies must be followed by an exact citation to evidence that the responding party contends will rebut the evidence the proposing party claims supports the fact."

84. SM LINE RPFF 84: The sample analysis of about 80 containers performed by SM Line supports the validity of SM Line's charges.

SEA Response to RPFF 84: Denied. SM Line provides no point of reference or evidentiary showing with respect to its allegation regarding a “sample analysis of about 80 containers” making a response to RPFF 84 impossible, and RPFF 84 should have been withdrawn when submitted by the amended, extension deadline.

F. SM LINE’S DEMURRAGE AND DETENTION POLICIES AS PROVIDED UNDER THE AGREEMENTS NEGOTIATED WITH SEA’S AFFILIATES, TARIFF, AND RULES GOVERNING THE SHIPMENT OF CARGO WERE REASONABLE SEA CONSISTENTLY APPROVED SM LINE’S CHARGES. SM LINE CONSISTENTLY WAIVED OR REDUCED CHARGES WHEN APPROPRIATE.

SEA Response to RPFF Header F: Denied. Denied to the extent that SM Line Header F purports to state a legal conclusion as to whether SM Line’s action were reasonable and/or complied with applicable regulations.

85. SM LINE RPFF 85: SM Line has and had clear procedures for requesting waivers, refunds, or modifications to invoices. CX_004665.

SEA Response to RPFF 85: Denied. The sole document to which SM Line cites does not support this RPFF 85. CX_004665 contains presentation slides that simply define the types of demurrage and detention tariffs SM Line had and its overall process for generating and invoicing charges as of the date of the presentation, September 2021; apart from two slides containing the single word “Discount,” there is no information regarding SM Line’s procedures for waiving, refunding, or modifying invoices. *See* CX_004669-70. Moreover, regardless of whether SM Line had “clear” procedures for disputing invoices, which SEA does not concede, SEA was not required to dispute invoices at the time of their issuance and yet did raise problems with invoices issued. *See, e.g.,* CX_002891, Goedinghaus Dep. Tr. 117:11-16 (in being asked by SM Line’s counsel about charges on SEA containers, Mr. Goedinghaus testified, “I see an event that requests more data so we can validate the [charges on the] containers, because they didn’t even provide container

numbers, as SM Line didn't provide container numbers, which is impossible to validate anything without a container number," in response to which SM Line's counsel stated, "I agree with you wholeheartedly on that comment."); CX_002323-33, CX_002442-44, SEA 143(b)(6) Dep. Tr. 76:13-86:7, 195:16-197:24 (SEA's corporate representative Jeung Choi testifying about SEA's efforts to dispute SM Line's charges and current refusal to pay disputed charges).

86. SM LINE RPFF 86: During the reparation period (2020-2022), SM Line implemented a "stop clock" (ie. not billed D&D charges) for 523 days at any given port or terminal. The stop clock would be applied to all containers whether it belonged to SEA or another customer. During the stop clock each container will receive its benefit, resulting in millions of dollars of D&D charges not being billed, RX_0004698.

SEA Response to RPFF 86: Denied. The cited spreadsheet has never been authenticated by SM Line in this proceeding. Even foundational information is missing from the record such as its author and the data used to construct the chart. Moreover, the spreadsheet does not support SM Line's claims in RPFF 86. The data included in the spreadsheet is woefully incomplete. For example, although SM Line tallies a total of 13 days for which a stop clock was issued in Q2 of 2021 and a total of 12 days in Q3 of 2022, no data whatsoever from Q2 of 2021 or Q3 of 2022 is provided to support these calculations. The spreadsheet does not show that "millions of dollars of D&D" were chargeable but not billed; in fact, it does not list the demurrage or detention rate or charges for a single container. There is also no identification of the containers listed in the Excel sheet entitled "Raw" as SEA (or non-SEA) containers. To the extent that this RPFF and/or the information contained in the cited document do not pertain to SEA containers, they are not relevant.

To the extent the cited document shows that SM Line issued stop clocks for certain days/containers during the Relevant Time Period, this merely reflects specific instances in which SM Line performed its responsibilities as the carrier on store door shipments. That SM Line at times issued stop clocks during the Relevant Time Period does not absolve or negate the fact that SM Line failed to, on numerous occasions, issue stop clocks or waive D&D charges when the circumstances warranted it. *See, e.g., SEA's Response to RPFF 77.*

87. SM LINE RPFF 87: In addition to the general “Stop Clock” - during the same reparation period (2020-2022) - SM Line provided also an additional 584 days’ worth of D&D “stop-clock” just to SEA resulting in millions of dollars of non-billed D&D charges, RX_0004707.

SEA Response to RPFF 87: Denied. The spreadsheet cited at RX_0004707 in support of RPFF 87 was not introduced as an exhibit in any fact or expert witness deposition, has not been appended to any affidavit or declaration and has not been otherwise authenticated by SM Line in this proceeding. Moreover, the spreadsheet does not support SM Line’s claims in this RPFF. The spreadsheet does not show “millions of dollars of non-billed D&D” that were chargeable but not billed to SEA; in fact, it does not list the demurrage or detention rate or charges for a single container. Further denied to the extent that the stop-clock days referenced in RX_0004707 overlap with the stop-clock days referenced in RX_0004698 cited in RPFF 87 and are therefore not “additional” stop-clock days that were issued for SEA (SM Line’s failure to include complete data in RX_0004707 makes it impossible to determine whether any such overlap exists). A review of a sample of the shipments listed in RX_0004707 reveals inaccuracies in the data provided. For example, SM Line claims that demurrage charges were waived for the following shipments: SEL2H9071723 (Container No. SMCU1015048), SEL2H9071721 (Container No.

SMCU1049670), SEL2H9071724 (Container No. SMCU1165897), SEL2H9071727 (Container No. TCKU9736903), SEL2H9071714 (Container No. TRLU6625667), and SEL2H9071705 (Container No. SMCU1012096). SM Line further claims that for these shipments no amount of demurrage was collected or invoiced. *See* RX_0004707, Columns Z, AB-AF and AZ. However, when reviewing the shipments with the charges paid by SEA and listed in Exhibit 1 to Mr. Smith's reports, the record establishes that SEA was in fact assessed charges as follows:

1. SEL2H9071723 (Container No. SMCU1015048): Paid \$4769.94⁵
2. SEL2H9071721 (Container No. SMCU1049670): Paid \$2,995⁶
3. SEL2H9071724 (Container No. SMCU1165897): Paid \$2,630⁷
4. SEL2H9071727 (Container No. TCKU9736903): Paid \$3,220⁸
5. SEL2H9071714 (Container No. TRLU6625667): Paid \$345⁹
6. SEL2H9071705 (Container No. SMCU1012096): Paid: \$1,625¹⁰

SEA further asserts that, to the extent the cited document shows that SM Line issued stop clocks for certain days/containers during the Relevant Time Period, this merely reflects specific instances in which SM Line performed its responsibilities as the carrier on store door shipments. *See, e.g.,* SEA's Response to RPFF 77. That SM Line at times issued stop clocks during the Relevant Time Period does not absolve or negate the fact that SM Line failed to, on numerous occasions, issue stop clocks or waive D&D charges when the circumstances warranted it.

88. SM LINE RPFF 88: SM Line further waived nearly [REDACTED] of D&D charges specific to SEA. RX_0004706.

SEA Response to RPFF 88: Denied. The cited document, RX_0004706, is an Excel spreadsheet that was not introduced as an exhibit in any fact or expert witness deposition by either party and

⁵ CX_005507, CX_005072.

⁶ CX_005506, CX_005070-71.

⁷ CX_005506, CX_005070.

⁸ CX_005506, CX_005070.

⁹ CX_005067.

¹⁰ CX_005069, CX_005506.

therefore has not been authenticated in this proceeding. Even basic foundational information is missing, such as the document's author and the source data. Moreover, broadly speaking, RX_0004706 does not support SM Line's claims in RPFF 88. While Sheet 1 of the Excel spreadsheet states that approximately [REDACTED] in charges billable to SEA were waived, the sheet entitled "Data(2019-2023)" that SM Line includes to support its calculations pertain to charges on containers moved for [REDACTED], two separate entities from SEA, who are unrelated to this action. Further, there is not a single reference to SEA anywhere in the "Data(2019-2023)" sheet. Moreover, arguably the most critical column to SM Line's argument, entitled "Uncollected AMT" (Column AH), contains values of zero for every single container listed, which belies SM Line's assertion that it waived "nearly [REDACTED]" of D&D charges that it could have collected from SEA. Further denied to the extent that the spreadsheet includes data from the year 2019, which is outside the scope of the Relevant Time Period.

89. SM LINE RPFF 89: SM Line's policy was to waive or refund demurrage and/or detention when incurred due to act/omission of SM LINE. RX_0001602-RX_0001617, RX_0004178, RX_0001440, RX_0001458, RX_0004121, RX_0004619, RX_0004629.

SEA Response to RPFF 89: Denied. The cited examples show a handful of instances when SM Line agreed to waive or refund D&D charges in July/August of 2020 and February of 2022. Denied that these isolated examples from just two limited time periods are sufficient evidence that it was "SM Line's policy" to waive or refund D&D charges when incurred due to acts or omissions of SM Line. Furthermore, some of the emails SM Line cites do not even show SM Line agreeing to waive or refund D&D charges and therefore do not support this PFF. *See* RX_0004178-79 (Gold Point requesting that the terminal extend the LFD on July 24, 2020, but no emails showing that

SM Line or the terminal granted the extension); RX_0004629 (Gold Point and SEA emailing SM Line to request extension of LFD, but no emails showing that SM Line granted this request). The record evidence shows that there were numerous instances in which SM Line did not waive or refund D&D charges when the circumstances warranted doing so. *See* PFF 79, 116-117.

90. SM LINE RPFF 90: SM Line waived demurrage and/or detention charges in accordance with its policy. CX_001706-07, Gaston Tr. 53:23-54:1, CX_001588, Chian Ma Tr. 78:14-21.

SEA Response to RPFF 90: Denied. Ms. Gaston testified that “If the port is congested, then the demurrage is waived” without reference to a stated policy being adhered to. CX_001706-07, Gaston Dep. Tr. 53:25-54:1. Further denied that this testimony is evidence that SM Line actually waived D&D charges in accordance with policy. Also, the cited testimony of Mr. Ma does not support RPFF 90 as it is merely a line of questioning about whether SM Line’s dispute resolution process changed since Mr. Ma began his employment with SM Line and when SM Line’s detention group email was created.

91. SM LINE RPFF 91: At SEA’s request, SM Line guaranteed the demurrage charges for SEA so that CNTs can execute pick ups without encountering with payment-related issues. RX_0004452, RX_0004699.

SEA Response to RPFF 91: Denied in part and admitted in part. Admitted only to the extent that the cited emails reflect two instances when SM Line agreed to guarantee demurrage charges for SEA. But these emails reveal that SM Line was hesitant to guarantee the charges and would not have assisted SEA had SEA not made clear that it had no other way of handling the charges it should never have been forced to pay in the first instance. *See* RX_0004457 (Ms. Gaston writing to SEA on October 11, 2021 and inquiring “[n]ormally, trucker/customers pay directly to the port. What is the reason for us guaranteeing these charges?” in response to which SEA’s Mr.

Goedinghaus replied later that same day that the terminal's requirement that "all charges must be satisfied at once" could not be effected by the trucker and "Samsung is unable to send a direct wire to the terminal"); RX_0004701 (SM Line stating that "[T]his is CNT Samsung will need to clear the storage direct the terminal" and only agreeing to guarantee the charges once SEA made clear that it had "no way to clear the demurrage"). The latter email reflects SM Line's unwillingness to assist with D&D charges where a CNT was involved, though it was responsible for managing the shipments on store door terms. In fact, SM Line's chief US executive K.K. Choi explicitly stated that SM Line's policy on paying storage charges "var[ied] depending on the container" and added, "I cannot say that we guaranteed storage in all situations." CX_000498, K.K. Choi Dep. Tr. 145:16-23.

92. SM LINE RPFF 92: At SEA's request, SM Line provided support so that the ocean terminal could provide a "peel off" program allowing CNTs to pick up a container without having to make an appointment with the terminal. RX_0003670, RX_0003549.

SEA Response to RPFF 92: Denied. The emails cited do not support RPFF 92. While RX_0003670 does show that SM Line communicated to the terminal SEA's request for "peel off" service, SM Line handed off responsibility for setting up the "peel off" program to the trucker Gold Point and the terminal, with no further involvement from SM Line. *See* RX_0003670-76 (SM Line writing to FMS terminal "Our customer decided to go w/ Peel-Off Svc. Gold Point (in copy) will be the trucking company, hence please guide them accordingly."). Likewise, while RX_0003549-3561 represents a discussion between SEA and the trucker Gold Point regarding setting up a "peel off" program, *see* RX_0003561, and references that the "terminal and SM line will need advance notice in order to prepare for this operation," *see* RX_0003550, the email exchange does not include any SM Line employees, nor does it actually show that SM Line

“provided support” in arranging a “peel off” program. Further denied to the extent that RX_0003670 and RX_0003549 involve only a single trucker, Gold Point, whereas RPFF 92 references multiple, unspecified “CNTs.”

93. SM LINE RPFF 93: SM discounted demurrage and/or detention charges and/or balances, including with SEA.

SEA Response to RPFF 93: Denied. SM Line provides no citation to evidence for the proposition. RPFF 93 should have been withdrawn when submitted by the amended, extension deadline. This RPFF violates Chief Judge Wirth’s April 21, 2023 Scheduling Order which expressly requires that: “[e]ach proposed finding of fact that the responding party denies must be followed by an exact citation to evidence that the responding party contends will rebut the evidence the proposing party claims supports the fact.”

94. SM LINE RPFF 94: [REDACTED]
[REDACTED]
[REDACTED]
[REDACTED]. CX_004304 SM Line
Expert Clair report ¶.45.

SEA Response to RPFF 94: Admitted in part and denied in part. Admitted to the extent that it accurately paraphrases CX_004304, Clair Report ¶ 45. No evidentiary support exists, however, for Mr. Clair’s statements made in Paragraph 45 of his report. The sole reference cited by Mr. Clair is a spreadsheet – “SM Import Business.xlsx” – that contains figures that apparently were provided to Mr. Clair by SM Line without any supporting documentation, CX_003349, Clair Dep. Tr. 19:2-10 (“SM Line’s documents – so the first one, DMIF/DTIC is demurrage and detention summary. That’s an Excel spreadsheet, was one of the things *that came to us. . . . And there was another*

Excel spreadsheet on SM's import business [i.e., the "SM Import Business.xlsx" document cited in Mr. Clair's Paragraph 45] are the three that are on that listed as my documents") (emphasis added), and without any due diligence conducted by Mr. Clair by speaking with SM Line employees. CX_003346-47, Clair Dep. Tr. 16:25-17:6 ("Q. ***Did you speak directly with any current or former employees of SM Line?*** A. That I've got to think through. ***I do not believe so. . . . at this point, I don't believe I did.***") (emphasis added). Without any underlying documentation – or even conversations with SM Line employees -- to support the purported figures, Mr. Clair's representation in Paragraph 45 cannot be credited. SEA's liability expert, Mr. John McCown, referenced Mr. Clair's lack of evidentiary support for his assertions in his rebuttal report. CX_004502, Expert Rebuttal Report of John D. McCown, dated March 1, 2024 ("McCown Rebuttal"), ¶ 45 ("Clair asserts that SM Line waived, at its own discretion, D&D charges for all U.S. import containers, but does not provide any specific facts to support this assertion, nor an analysis of alleged SEA-specified waivers. (Clair Report, ¶¶ 44-47)."). Mr. McCown went on to clarify that Mr. Clair used the term "waiver" incorrectly to describe what were actually "differences in the free day periods that SM Line agreed with the shipper to provide for that cargo," which "are not 'waivers' of D&D in any accepted commercial sense, nor in the sense that Mr. Clair is advancing in his argument." CX_004503-03, McCown Rebuttal ¶ 45.

95. SM LINE RPFF 95: Based on the data collected by the FMC of the nine top container ship lines, waived D&D fees increased by an estimated 6 times from Q2, 2020 to the peak in Q4, 2022 from an estimated indexed value of 100 to 700 (see chart under paragraph 33)³¹. The increase in SM Line actual waived D&D fees for U.S. imports increased by an even higher 10.7 times from Q2, 2020 to SM Line's peak in Q4, 2021, from \$1.1M to

\$12.9M. CX_004304, SM Line Expert Clair report ¶.47; FMC website <https://www.fmc.gov/detention-and-demurrage/> last accessed 2/17/2024.

SEA Response to RPFF 95: Admitted in part and denied in part. Admitted to the extent that RPFF 95 accurately paraphrases CX_004304, the FMC website, and SM Line Expert Lee Clair Report ¶ 47. Denied that there is any correlation to waived charges against SEA specifically based on the general industry information proffered.

96. SM LINE RPFF 96: SM Line waived demurrage and detention charges through “stopping the Clock and “charge inactivation procedures. RX_0004698, RX_0004707, and RX_0004706.

SEA Response to RPFF 96: Denied. SEA incorporates by reference its responses to RPFFs 86, 87, and 88.

97. SM LINE RPFF 97: SM Line invoices were in compliance with the regulations in place at the time of the invoicing. CX_005574, RX_0004098.

SEA Response to RPFF 97: Denied. Denied to the extent that the phrase “the regulations in place at the time of the invoicing” is vague and does not specify the relevant regulation(s). Denied to the extent that RPFF 97 references “SM Line invoices” without specifying the type(s) of invoices or the time period during which they were issued. Denied to the extent that RPFF 97 purports to state a legal conclusion as to whether SM Line invoices complied with applicable regulations. In regard to the two invoices proffered as evidence that its invoices relating to the transport of over 7,000 containers complied with applicable regulations regarding invoicing, the extrapolation is improper.

98. SM LINE RPFF 98: SEA consistently approved SM Line’s invoices. RX_0003615, RX_0001047, RX_0003627, RX_0003652, RX_0004224.

SEA Response to RPFF 98: Admitted in part and denied in part. Admitted only that SEA approved certain SM Line invoices. Denied to the extent that SM Line uses the qualifier “consistently,” but proffers only a handful of examples. SEA paid SM Line invoices in order to be able to move its containers, even if SEA did not recognize the charges as valid. *See* CX_002428, SEA 143(b)(6) Dep. Tr. 181:10-14 (SEA’s corporate representative Jeung Choi testified that “[e]verything was just paid to move the boxes. So it wasn’t because we were responsible for them. So if your question is, were they under protest, yes. They were paid.”).

99. SM LINE RPFF 99: SEA never approved any invoices from SM Line’s House Trucker.

SEA Response to RPFF 99: Denied. SM Line provides no citation to evidence for the stated proposition. RPFF 99 should have been withdrawn when submitted by the amended, extension deadline. This RPFF violates the Chief Judge Wirth’s April 21, 2023 Scheduling Order which expressly requires that: “[e]ach proposed finding of fact that the responding party denies must be followed by an exact citation to evidence that the responding party contends will rebut the evidence the proposing party claims supports the fact.”

100. SM LINE RPFF 100: The Detention and Demurrage Improvement Plan, drafted by Sung Hyun Kim in his personal capacity, on which SEA’s heavily relies, was never implemented. CX_000674-77, Sung-Hyun Kim Tr. 21:17-22:12, 23:7-11.

SEA Response to RPFF 100: Admitted in part and denied in part. Admitted only that Mr. Sung-Hyun Kim testified that he prepared a document entitled “2022 DEM/DET Improvement Plan Report” that was allegedly “rejected” by the head of SM Line HQ, Yoon Jae Lee. CX_000675; CX_000682, S.H. Kim Dep. Tr. 22:15-17; 29:17-20. Denied as to SM Line’s claim that Mr. Kim prepared the DEM/DET Improvement Plan “in his personal capacity” as Mr. Kim’s own testimony establishes that he was assigned by high level executives at SM Line to prepare the document and

that he prepared it for the head of Korea HQ with the objective that it would be adopted as official SM Line policy. *See* CX_000681-068382, S.H. Kim Dep. Tr. 28:22-23; 29:17-18; 30:3-5 (“Well, going back to this time, this was when I was assigned to this project . . . So at the time I made this report to the head of the HQ, the division . . . And, as you can see, the purpose of this document is to efficiently manage demurrage and detention, as is the title of this document . . .”) (emphasis added). Further denied as to SM Line’s characterization that SEA “heavily relies” on the Detention and Demurrage Improvement Plan. Finally, SM Line’s Response to PFF 209 even states “[a]dmit to the extent that the D&D improvement plan increased the authority of the US office; denied as to the remaining claims in this RPFF.”

G. SEA’S CLAIMS INVOLVES CHARGES INVOICED AND COLLECTED BY THIRD PARTIES.

SEA Response to SM Line Header G: Admitted.

101. SM LINE RPFF 101: In the total reparation claim SEA has against SM Line, SEA includes approximately \$3.2 million that SEA says it paid to two truckers (ie. PB Industries and Gold Point). CX_004385.

SEA Response to RPFF 101: Admitted, with the propriety of these specific charges being recoverable as addressed in the SEA damages expert report of Mr. Greg Smith. *See* CX_004466-67, Smith Report, ¶¶ 39-41.

102. SM LINE RPFF 102: In the total reparation claim SEA has against SM Line, SEA includes approximately \$1.7 million that SEA says it paid to [REDACTED] [REDACTED]. CX_004385.

SEA Response to RPFF 102: Admitted, with the propriety of these specific charges being recoverable addressed in the SEA damages expert report of Mr. Greg Smith. *See* CX_004467, 004474, Smith Report, ¶¶ 41, 58; *see also* CX_002464-2470, SEA 143(b)(6) Dep. Tr. 217:15-

223:11 (SEA's corporate representative Jeung Choi testifying how all payments made to [REDACTED] [REDACTED] included in its reparations claim against SM Line are "pass through" reimbursement claims where SEA was reimbursing at cost outlays fronted by the other Samsung entities for expenses caused by SM Line's failures to perform).

103. SM LINE RPFF 103: In the total reparation claim SEA has against SM Line, SEA includes approximately \$1.7 million that SEA says it paid for prepull and yard/storage. CX_004382.

SEA Response to RPFF 103: Admitted, with the propriety of these specific charges being recoverable as addressed in the SEA damages expert report of Mr. Greg Smith. CX_004474, Smith Report, ¶ 58 (explaining how SEA arranged for off-dock container yard facilities to stage containers rather than leaving them on terminal grounds "to avoid excessive demurrage charges accruing at the terminals"); *see also* SEA's Response to RPFF 63 (addressing SEA's efforts to mitigate costs by prepulling containers and storing them at off-dock container yard facilities).

104. SM LINE RPFF 104: In the total reparation claim SEA has against SM Line, SEA includes approximately \$1 million that SEA says it paid for rehandling issues. CX_004385.

SEA Response to RPFF 104: Admitted. *See* SEA's Response to RPFF 103.

105. SM LINE RPFF 105: In the total reparation claim SEA has against SM Line, SEA includes approximately \$573k million that SEA says it paid for chassis shortage. CX_004385.

SEA Response to RPFF 105: Denied to the extent that "\$573k million" is an incorrectly stated figure. Admitted that SEA's reparations claim includes \$573,435 in chassis use charges. CX_005436, Smith Report Ex. 1.1; CX_005437, Smith Report Ex. 2, with the propriety of these specific charges being recoverable as addressed in the SEA damages expert report of Mr. Greg

Smith. *See* CX_004461_-63, Smith Report, ¶ 34(g) (identifying chassis usage as one of the reimbursable inland transportation costs incurred by SEA); *see also* CX_001201, Solarez Dep. Tr. 132:9-14 (SM Line’s former overseer of all operations and current equipment control manager stating that “our rule is *we cover all of the chassis usage charges 100 percent* unless the customer has special terms in the contract for less days. But, *in the case of Samsung, for all door moves, we covered the chassis cost.*”) (emphasis added).

106. SM LINE RPFF 106: In the total reparation claim SEA has against SM Line, SEA includes approximately \$16,400 that SEA says it paid for chassis flip, chassis, reposition, and chassis split. CX_004385.

SEA Response to RPFF 106: Admitted, with the propriety of these specific charges being recoverable as addressed in the SEA damages expert report of Mr. Greg Smith. *See* CX_004461-63, Smith Report, ¶¶ 34(k), 34(l) & 34(m) (identifying chassis flip, chassis reposition, and chassis split, respectively, as reimbursable inland transportation costs incurred by SEA); *see also* CX_001201, Solarez Dep. Tr. 132:9-14 (SM Line’s former overseer of all operations and current equipment control manager stating that “our rule is *we cover all of the chassis usage charges 100 percent* unless the customer has special terms in the contract for less days. But, *in the case of Samsung, for all door moves, we covered the chassis cost.*”) (emphasis added).

107. SM LINE RPFF 107: SEA also did not pay—and does not intend to pay—those invoices that it now claims that SM Line billed in violation of OSRA. CX_005597, CX_005598, CX_005599, CX_005600, CX_005595, CX_005596.

SEA Response to RPFF 107: Admitted in part and denied in part. Admitted, only that SEA is challenging certain SM Line invoices on the grounds that they do not comply with the legal requirements SM Line is required to follow, including but not limited to, the Ocean Shipping

Reform Act of 2022, or OSRA (which SM Line leaves undefined). Denied that it is an appropriate RPFF to address SEA “intent” as to improperly issued D&D charges.

108. **SM Line RPFF[unnumbered language].** The demurrage charges also referred to in SEA CX_004846, involved shipments on behalf of Samsung International Inc., not SEA. SEA did not pay those charges. (Solarez Dep. Ex. 28). RX_0004269.

SEA Response to Unnumbered Language: Denied. SEA cannot address SM Line’s unnumbered paragraph as SEA is unable to determine whether the paragraph is full or incomplete. To the extent that an answer can be provided, without waiving any other objections or responses which might be asserted to additional language which might have been intended to be included in this unnumbered paragraph, RX_0004269 does not show that SEA did not pay the referenced charges.

108. **SM LINE RPFF 108:** The demurrage charges also referred to in SEA CX_004846, involved shipments on behalf of Samsung International Inc., not SEA. SEA did not pay those charges. SM Line_0055069, Solarez Dep. Ex. 28.

SEA Response to RPFF 108: Denied. The email thread cited at CX_004844-46 is dated from August 31 to September 4 of 2021 and does not contain any reference to [REDACTED] [REDACTED] (or SEA, for that matter).

Respectfully submitted,

Dated: June 17, 2024

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CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 17th day of June 2024, the foregoing document was served via electronic mail on:

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/s/ Allison N. Skopec
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